UBS

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Korea Strategy

Slower EPS estimate upgrades, Stronger macro headwinds
But risk aversion seems overdone



Equity Strategy

Korea

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SECTION 1

Investment Thesis

Korea Strategy:
EPS estimate upgrades fading; Prefer memory, value and quality

- **Lower KOSPI target to 8,000 (7x NTM PE):** We lowered our 12M KOSPI target by 9% to 8,000 from 8,800 in our 18 Sep 2026 report**, reflecting higher interest rates, a stronger KRW and rising oil prices.** While we continue **to forecast solid 2026/27E EPS growth** of +256%/+38% (vs. consensus +279%/+36%), **consensus EPS revisions, a key driver of market performance, have turned negative** (-0.5% MoM in Sep vs. +14% in H126) as memory-led EPS estimate upgrades fade. Although KOSPI still offers attractive upside, we believe the market may **remain largely rangebound until Q3/Q4 earnings seasons provide greater clarity** on earnings sustainability and shareholder return initiatives. Our upside/downside is 9,200 / 5,100.
- **Rising yields, oil prices and KRW strength are becoming larger headwinds:** The 10Y KTB yield has risen to 4.5% from 3.4% at the start of the year, while the BOK has raised rates twice since July and UBS expects another 25bp hike in Dec. At the same time, oil prices have climbed above US$100/bbl and KRW has appreciated 11% since June. Our analysis suggests KOSPI EPS declines by c.1.1% for every 1% KRW appreciation, all else equal. Historically, **Energy, Financials and Defense outperform during periods of rising yields and oil prices**, while **export-oriented sectors such as Technology Hardware, Autos, Shipbuilding and Industrials tend to face greater earnings pressure from KRW strength**. More domestic-oriented sectors including Retail, Telecoms, Utilities and Financials have generally proven more resilient.
- Fund flow and stock view: Liquidity has moderated as **both foreigners and retail investors remained net sellers in Aug-Sep**, although foreign selling has **eased from May-Jun peaks** and sector positioning suggests rotation away from Tech, Industrials and Materials toward Energy and Staples. Single-stock leverage trading remains muted at just 3% of market turnover versus 34% at peak, helping contain market volatility. We continue to favor Value/Quality over Growth. We prefer Memory value (SEC, SKH), early-cycle industrials (SEMCO, Hyosung Heavy, Hyundai E&C, SDI) and quality with return (HMS, KT, Coway). We remain cautious on stocks exposed to macro headwinds (KEPCO, Krafton) and battery material stocks. We add S-Oil (oil price) as most preferred and Naver (rates) as least.

Company name	RIC	UBS rating	PT (LC)	Curr price (LC)	Up/down (%)	MCap (US$bn)	PE ('26E)	P/BV ('26E)
Most preferred								
Memory value								
Samsung Electronics	005930.KS	Buy	535,000	215,500	148%	957.4	2.9x	1.1x
SK Hynix	000660.KS	Buy	3,000,000	1,272,000	136%	695.0	2.1x	1.4x
Quality with shareholder return								
HD Hyundai Marine Solution	443060.KS	Buy	320,000	211,500	51%	7.1	24.2x	8.8x
KT Corporation	030200.KS	Buy	63,000	50,400	25%	9.2	7.9x	0.6x
Coway	021240.KS	Buy	125,000	107,800	16%	5.8	9.3x	1.4x
Least preferred								
EV Materials								
POSCO Future M	003670.KS	Sell	104,000	171,600	-39%	11.5	216.4x	4.1x
EcoPro BM	247540.KQ	Sell	76,000	106,900	-29%	7.8	219.8x	6.3x
L&F	066970.KS	Sell	104,000	93,700	11%	2.8	198.6x	4.4x

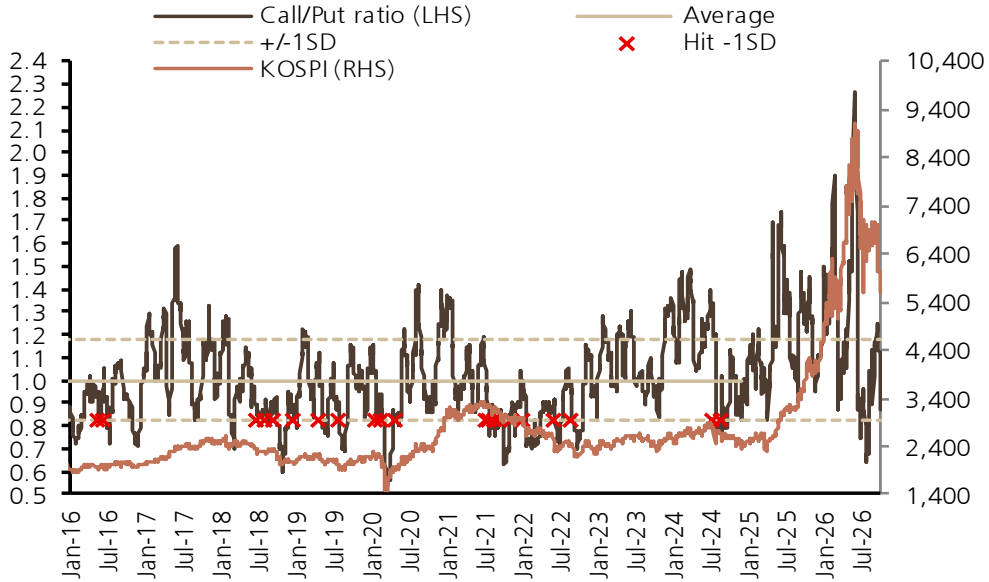
Company name	RIC	UBS rating	PT (LC)	Curr price (LC)	Up/down (%)	MCap (US$bn)	PE ('26E)	P/BV ('26E)
Most preferred (continued)								
Early-cyclicals								
Hyosung Heavy	298040.KS	Buy	4,000,000	1,926,000	108%	13.5	14.3x	4.2x
Samsung Electro-Mechanics	009150.KS	Buy	2,700,000	1,188,000	127%	66.6	21.2x	5.9x
Hyundai E&C	000720.KS	Buy	160,000	93,800	71%	7.8	16.0x	1.0x
Samsung SDI	006400.KS	Buy	850,000	530,000	60%	30.7	23.7x	1.8x
Macro winners								
S-Oil	010950.KS	Buy	200,000	153,700	30%	13.0	6.6x	1.3x
Least preferred (continued)								
Macro losers								
KEPCO	015760.KS	Neutral	40,000	28,600	40%	13.8	3.2x	0.3x
Krafton	259960.KS	Neutral	297,000	194,100	53%	6.7	8.2x	1.0x
Naver Corp	035420.KS	Neutral	225,000	180,000	25%	21.2	12.0x	0.9x

UBS *Source: Refinitiv, UBS estimates. Note: Priced as of 16 Oct 2026.*

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KOSPI call/put ratio

- **Call put ratio vs. Kospi**
  - KOSPI typically troughed on average 7 days (max 24 days) after the call/put ratio hit -1SD and 75% of the time it ended up rising 6% on average in the following three months



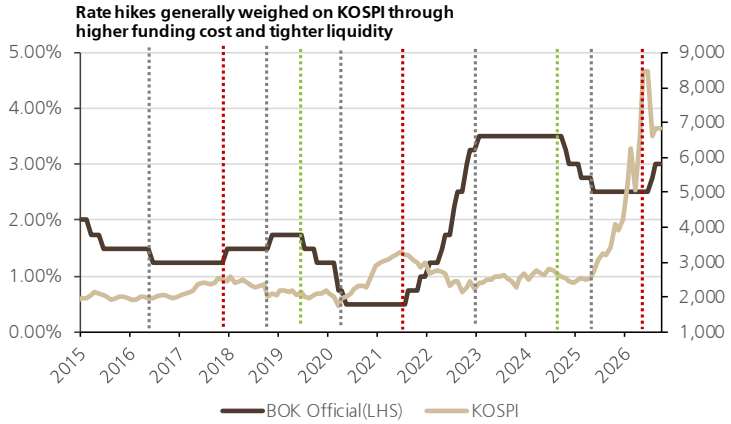
	All cases		(3m perf >0)		(3m perf <0)	
	incl. 0 day	excl. 0 day	**incl. 0 day**	excl. 0 day	**incl. 0 day**	excl. 0 day
Count	**45**	32	**33**	24	**12**	8
Days to trough - Avg.	**5**	7	**5**	7	**5**	7
Days to trough - Max.	**24**	24	**24**	24	**15**	15
1W perf from hitting - Avg	**-0.2%**	-1.8%	**3.2%**	2.1%	**-3.6%**	-3.6%
1M perf from hitting - Avg	**1.5%**	-0.6%	**6.3%**	4.5%	**-4.6%**	-4.2%
2M perf from hitting - Avg	**1.7%**	-0.1%	**6.0%**	4.0%	**-8.0%**	-7.9%
3M perf from hitting - Avg	**2.5%**	0.9%	**8.3%**	6.5%	**-5.5%**	-5.4%
3m perf from trough - Avg	**6.1%**	6.1%	**10.5%**	10.2%	**-6.0%**	-6.0%

UBS *Source: KRX, UBS*

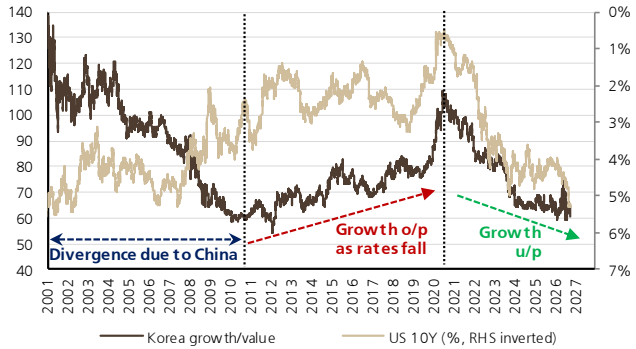
Korea growth vs. value

- **Growth/Value vs. bond yield**
  - Value tends to outperform growth during periods of rising interest rates, and vice versa

KOSPI vs BOK rate



Growth/Value vs bond yield performance



Source: Refinitiv, Bloomberg

UBS Universe Korea market performance by sector

15-Oct-26	Absolute performance (%)					Relative performance to KOSPI (%)					Rank				
Sector	**1M**	**3M**	**6M**	**12M**	**YTD**	**1M**	**3M**	**6M**	**12M**	**YTD**	**1M**	**3M**	**6M**	**12M**	**YTD**
Auto	-14.7	-28.2	-31.8	18.3	-5.8	1.8	-6.3	-25.4	-21.8	-28.2	15	21	17	8	14
Banks	-10.5	-9.1	-6.7	20.5	12.7	6.8	18.5	2.1	-20.4	-14.1	12	12	7	6	8
Battery	4.5	16.6	-5.6	19.3	17.0	24.7	52.1	3.2	-21.2	-10.8	2	2	6	7	6
Chemicals	-4.6	-1.3	-24.5	0.9	-4.7	13.9	28.7	-17.4	-33.3	-27.4	5	6	13	13	13
Construction	-25.2	-7.4	-40.1	58.6	58.0	-10.8	20.8	-34.5	4.8	20.5	24	10	22	3	3
Consumer discretionary	-7.3	-19.1	-9.5	-2.4	-7.7	10.6	5.5	-1.0	-35.5	-29.6	8	17	9	15	16
Consumer staples	-0.3	4.0	-7.6	1.4	2.5	19.0	35.7	1.1	-33.0	-21.8	4	4	8	12	11
Cosmetics	-13.7	-6.3	-14.0	1.9	8.1	2.9	22.2	-6.0	-32.6	-17.6	13	8	10	11	10
Defense	-17.9	-18.5	-45.5	-14.4	-11.5	-2.1	6.4	-40.3	-43.4	-32.6	18	16	23	19	18
Diversified financials	-18.8	-31.2	-46.9	-0.5	-6.8	-3.1	-10.2	-41.9	-34.3	-29.0	19	23	24	14	15
Electric equipment	-24.6	-23.4	-36.3	-3.2	-3.4	-10.0	-0.0	-30.3	-36.1	-26.4	23	20	21	16	12
Energy	8.7	23.9	29.6	67.9	63.6	29.8	61.6	41.8	10.9	24.7	1	1	1	2	2
Entertainment	-4.8	-10.4	-26.0	-32.3	-31.4	13.6	16.9	-19.1	-55.3	-47.7	6	13	15	24	22
Health care	-9.2	-8.7	-26.2	-19.1	-29.8	8.3	19.1	-19.3	-46.5	-46.5	10	11	16	20	21
Holdcos	-22.3	-32.9	-3.8	48.8	42.4	-7.3	-12.5	5.2	-1.7	8.6	22	24	5	4	4
Industrials	-10.1	-0.8	-25.5	-9.6	-10.6	7.3	29.4	-18.5	-40.3	-31.9	11	5	14	17	17
Insurance	-15.2	-20.8	-0.8	33.8	30.7	1.2	3.4	8.5	-11.6	-0.4	16	18	4	5	5
Internet	-13.8	-11.9	-22.9	-31.6	-27.2	2.9	15.0	-15.7	-54.8	-44.5	14	14	12	23	20
Shipbuilding	-20.1	-20.9	-33.1	-27.2	-31.7	-4.6	3.2	-26.8	-51.9	-48.0	21	19	19	22	23
Steel & metal	-15.3	-6.4	-33.4	-12.8	-13.6	1.1	22.1	-27.1	-42.4	-34.1	17	9	20	18	19
Tech	-19.0	-29.8	6.1	143.6	83.1	-3.4	-8.4	16.1	61.0	39.6	20	22	2	1	1
Telecom	-6.5	-3.6	-19.5	17.9	16.0	11.6	25.8	-11.9	-22.1	-11.6	7	7	11	9	7
Transport	1.7	7.6	0.7	13.6	12.7	21.4	40.4	10.2	-24.9	-14.1	3	3	3	10	9
Utilities	-8.4	-12.0	-31.8	-24.7	-34.9	9.3	14.8	-25.4	-50.2	-50.4	9	15	18	21	24
Korea total	**-16.2**	**-23.8**	**-8.8**	**51.9**	**31.8**										

UBS *Source: Bloomberg, UBS, WiseFn. Note: Performance is based on KRW*

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UBS Universe Korea market earnings & valuations by sector

15-Oct-26	P/E (x)			P/BV (x)			Earnings growth (%)			ROE (%)			Dividend yield (%)		
Sector	**2026E**	**2027E**	**2028E**	**2026E**	**2027E**	**2028E**	**2026E**	**2027E**	**2028E**	**2026E**	**2027E**	**2028E**	**2026E**	**2027E**	**2028E**
Auto	6.5	6.4	5.8	0.56	0.53	0.50	3.1	1.6	10.0	8.9	8.5	8.8	3.8	4.4	4.5
Banks	7.7	7.2	6.8	0.73	0.71	0.66	10.3	6.5	5.8	9.9	10.0	10.0	3.0	3.7	4.0
Battery	574.5	40.5	23.4	3.35	3.15	2.83	Turn+	1,317.6	73.3	0.6	8.0	12.8	0.0	0.1	0.1
Chemicals	13.5	10.3	6.2	0.63	0.59	0.54	Turn+	30.9	66.3	4.6	5.9	9.1	1.0	1.3	2.3
Construction	10.2	9.1	7.5	1.04	0.93	0.85	307.1	12.2	21.1	10.8	10.7	11.7	1.3	1.9	2.5
Consumer discretionary	8.2	7.6	6.8	0.65	0.61	0.57	42.8	7.4	11.8	8.1	8.3	8.6	2.8	4.5	4.8
Consumer staples	11.5	9.9	8.8	0.96	0.92	0.87	77.3	15.6	12.2	8.6	9.5	10.1	2.6	3.4	3.7
Cosmetics	27.9	21.5	17.9	2.46	2.29	2.10	92.9	29.9	19.7	9.1	11.1	12.2	1.0	1.4	1.7
Defense	21.5	16.6	13.2	3.66	3.09	2.55	40.7	29.3	26.2	17.6	20.1	21.2	0.7	1.0	1.3
Diversified financials	4.3	5.3	5.2	0.72	0.65	0.61	69.2	-20.0	3.5	17.4	12.8	12.2	3.6	6.5	6.1
Electric equipment	35.5	25.5	20.0	5.55	4.66	3.89	74.2	39.1	27.8	16.6	19.8	21.2	0.4	0.7	1.0
Energy	11.5	10.8	7.1	1.27	1.20	1.12	Turn+	7.0	52.6	11.5	11.4	16.4	0.3	2.2	1.6
Entertainment	13.2	14.1	12.3	1.52	1.41	1.30	80.6	-6.4	14.2	12.1	10.4	11.0	1.0	1.5	1.5
Health care	38.1	36.9	31.7	3.95	3.57	3.24	16.0	3.2	16.6	10.8	10.2	10.7	0.2	0.2	0.3
Holdcos	3.3	2.8	2.3	1.09	0.87	0.73	385.9	16.1	21.5	36.6	34.3	34.2	0.9	1.6	2.2
Industrials	14.2	13.1	11.7	1.49	1.41	1.33	51.1	8.4	11.5	10.7	11.1	11.7	2.2	3.0	3.3
Insurance	9.9	8.2	8.4	0.65	0.56	0.43	35.2	20.4	-2.9	7.6	7.3	5.8	2.6	3.8	4.7
Internet	19.2	16.3	14.1	1.55	1.46	1.36	-7.4	17.8	15.9	7.3	9.2	10.0	1.3	1.5	1.6
Shipbuilding	10.8	10.3	9.6	2.52	2.14	1.87	61.5	5.4	7.2	25.3	22.5	20.8	1.5	3.0	3.2
Steel & metal	16.3	11.6	9.8	0.54	0.53	0.51	97.8	40.1	18.7	3.3	4.6	5.3	2.7	2.9	3.8
Tech	4.6	3.1	2.8	2.10	1.35	1.02	473.9	47.9	11.2	59.3	52.5	41.3	0.5	6.6	11.1
Telecom	10.3	9.4	8.9	0.88	0.85	0.82	31.3	9.1	6.7	8.7	9.2	9.4	3.4	5.3	5.6
Transport	11.3	9.8	9.4	0.87	0.82	0.76	-7.9	15.1	3.8	7.8	8.6	8.4	2.9	3.0	3.0
Utilities	3.7	2.6	2.2	0.37	0.34	0.31	-28.0	41.7	21.1	10.3	13.6	14.9	5.0	3.7	4.6
Korea total	**5.9**	**4.3**	**3.8**	**1.48**	**1.16**	**0.96**	**255.7**	**37.6**	**12.7**	**28.2**	**30.2**	**27.5**	**1.0**	**4.7**	**7.3**
Tech	4.6	3.1	2.8	2.10	1.35	1.02	473.9	47.9	11.2	59.3	52.5	41.3	0.5	6.6	11.1
Non-tech	9.0	7.9	6.7	1.09	0.99	0.89	87.8	13.5	17.2	12.6	13.1	13.9	1.7	2.3	2.6

UBS *Source: Bloomberg, Company data, UBS estimates*

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Sector screen of EPS growth, consensus revision and valuations

Sector	Mkt Cap as % of KOSPI	Mkt Cap YTD performance (%)	Valuation range vs. past 5 year range	2026E EPS cons YoY (%)	2027 EPS cons YoY (%)	2026 EPS 1M revision (%)
Health care	3%	-24%	0%	37%	9%	0%
Holdcos	6%	42%	0%	339%	18%	3%
Internet	2%	-24%	0%	2%	23%	-2%
Entertainment	1%	-29%	1%	65%	-9%	-2%
Cons discr	1%	-7%	1%	46%	13%	-1%
Tech	55%	84%	1%	522%	44%	-1%
Utilities	1%	-35%	10%	-32%	30%	-1%
Chemicals	1%	-6%	17%	Turn+	35%	-8%
Cons staples	1%	3%	21%	72%	16%	-1%
Cosmetics	1%	24%	23%	151%	29%	0%
Insurance	2%	31%	25%	31%	20%	2%
Defense	2%	-12%	28%	43%	34%	0%
Div fin	1%	-7%	31%	68%	-20%	-3%
Auto	4%	-6%	32%	12%	10%	-2%
Steel & metal	1%	-14%	32%	131%	23%	-1%
Shipbuilding	2%	-32%	34%	79%	19%	0%
Transport	1%	13%	34%	-4%	10%	5%
Elec equip	3%	-3%	35%	69%	44%	-1%
Battery	4%	23%	39%	NA	Turn+	NA
Industrials	1%	-1%	45%	66%	9%	0%
Construction	1%	58%	48%	267%	8%	-1%
Telecom	1%	16%	54%	32%	8%	0%
Energy	1%	64%	68%	Turn+	-29%	12%
Banks	5%	13%	73%	8%	6%	0%
KOSPI	_	**34%**	**27%**	**279%**	**36%**	**0%**

Source: WiseFn, Bloomberg

Notes: Sectors using P/E multiples - Auto, Consumer discretionary, Consumer staples, Cosmetics, Defense, Electric equipment, Entertainment, Healthcare, Holdcos, Internet, Tech, Telecom; Sectors using P/B(V) multiples - Banks, Battery, Chemicals, Construction, Diversified financials, Energy, Industrials, Insurance, Shipbuilding, Steel & metal, Transport, Utilities.

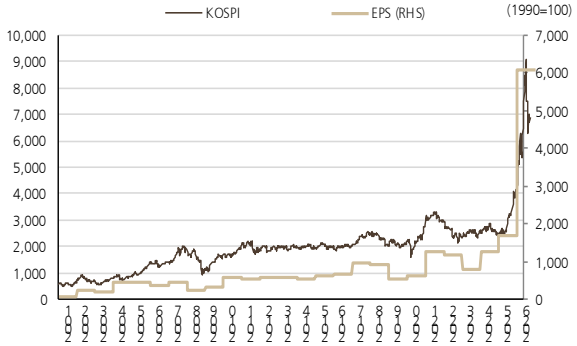
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SECTION 2

Earnings growth intact, but facing macro headwinds

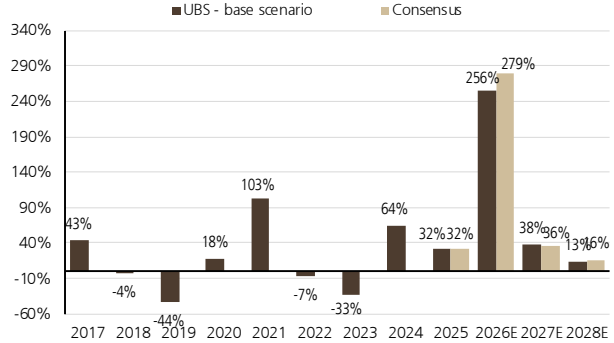
Market EPS growth to remain solid in 2026E, highest in AxJ

EPS vs KOSPI index – 84% correlation



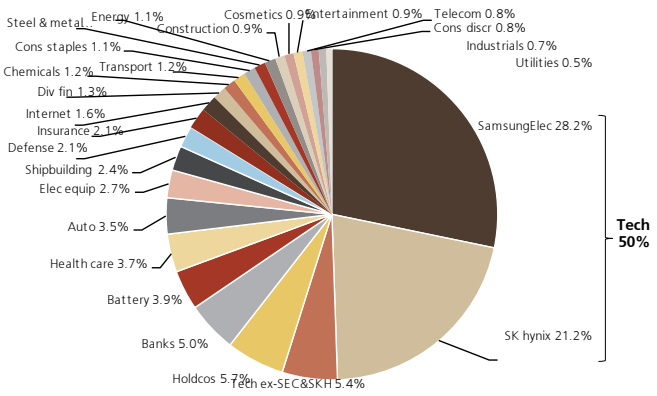
Source: Bloomberg, Company data, Refinitiv, UBS estimates

KOSPI EPS growth – UBS vs consensus

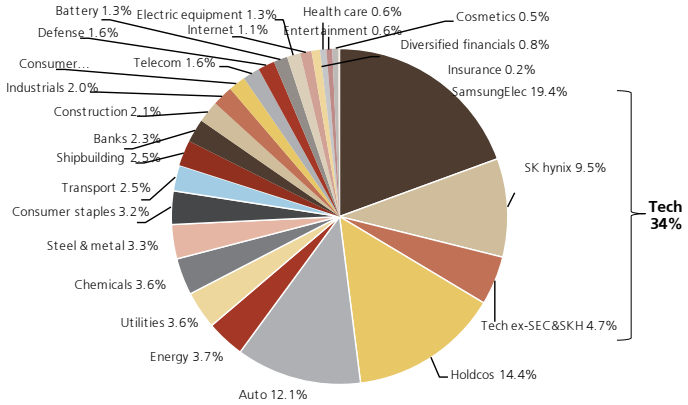


Source: Bloomberg, UBS estimates, WiseFn

KOSPI market cap by sector



KOSPI revenue mix by sector

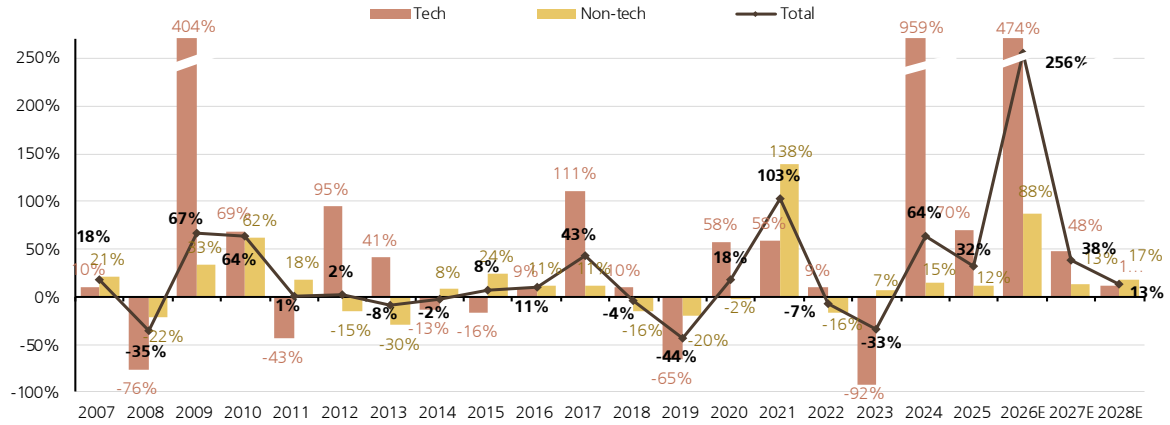


Note: Data as of Oct 2026. Source: WiseFn

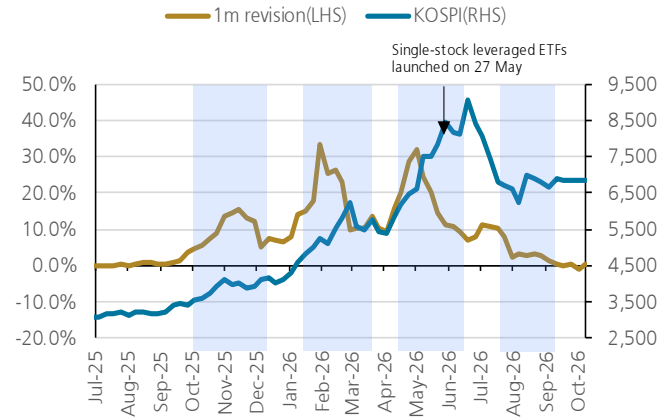
Source: IBES, Refinitiv Workspace

Market EPS growth but importantly estimate revisions drive share price, usually around results season

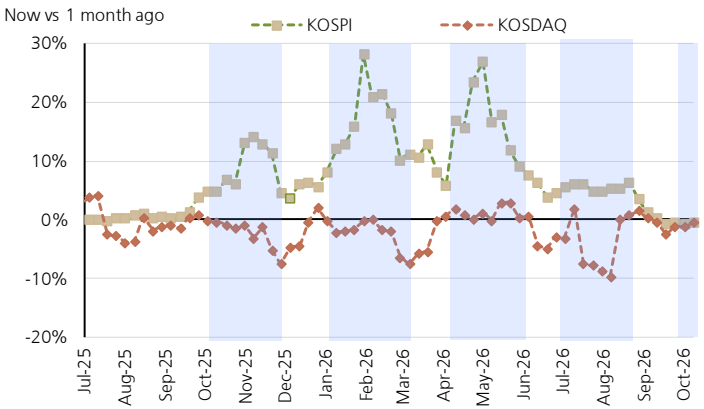
EPS growth – Tech vs Non-tech



KOSPI 1yr fwd 1M EPS revision vs. Index performance



1M consensus 2026F EPS revisions – KOSPI vs KOSDAQ

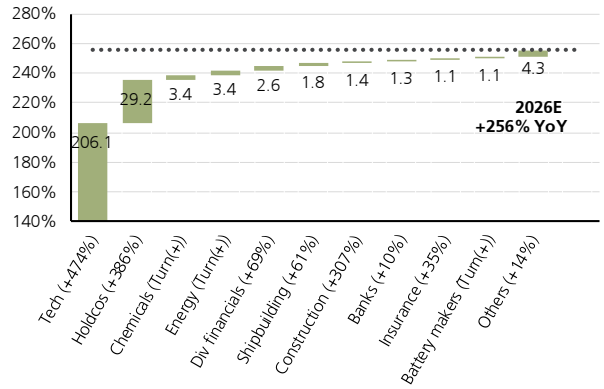


UBS *Sources: Bloomberg, Company data, UBS estimates*

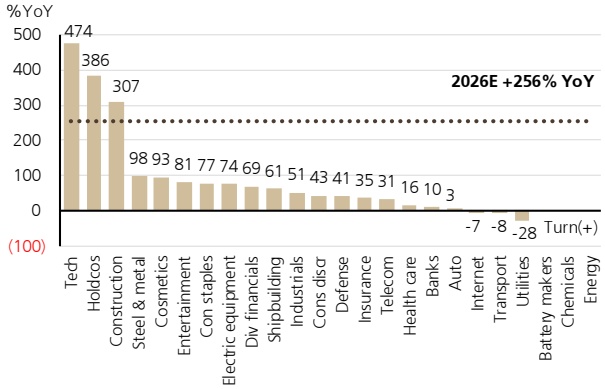
12

Memory is the key driver of market EPS; but non-tech also strong

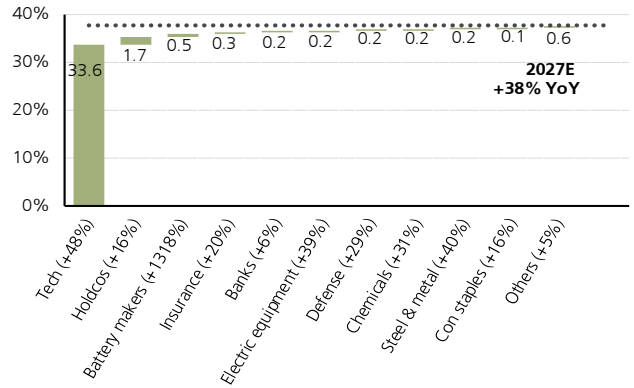
KOSPI EPS growth contribution by sector, 2026E



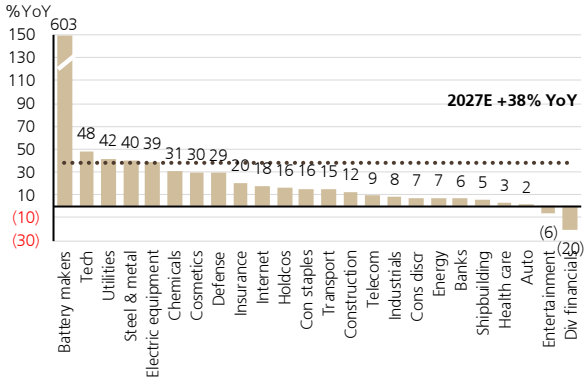
EPS YoY growth by sector, 2026E



KOSPI EPS growth contribution by sector, 2027E



EPS YoY growth by sector, 2027E

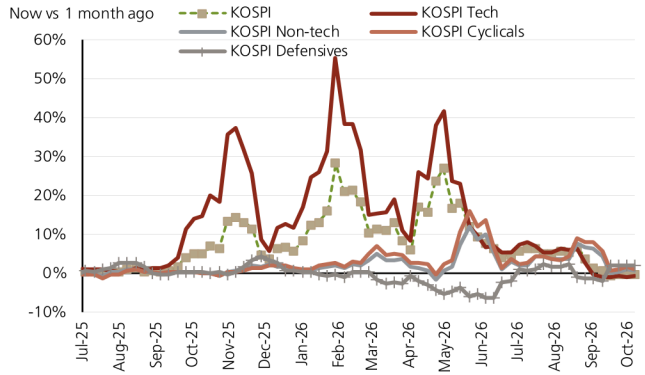


UBS *Sources: Bloomberg, Company data, UBS estimates*

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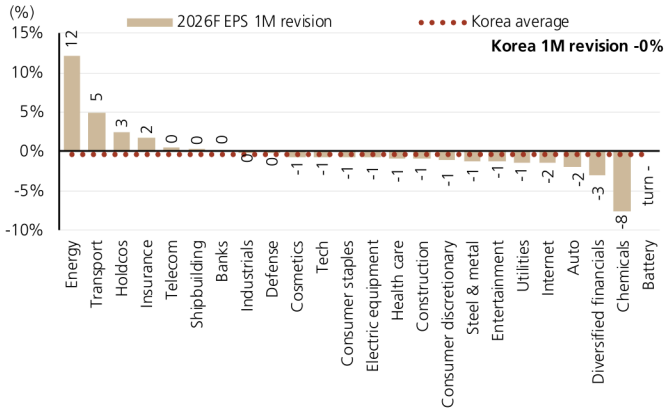
EPS consensus revisions moderating across both tech & non-tech

KOSPI 1M consensus 2026F EPS revisions – tech vs non-tech



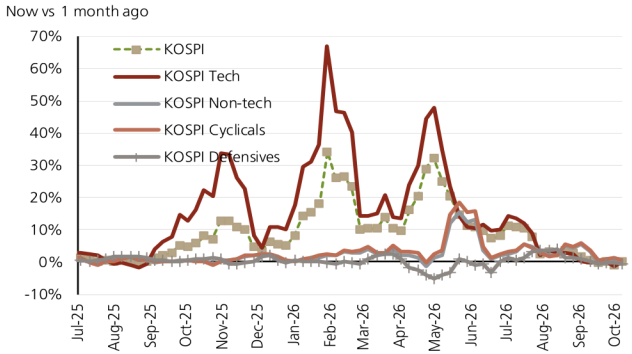
Source: Bloomberg

Korea 1M consensus 2026F EPS revisions by sector

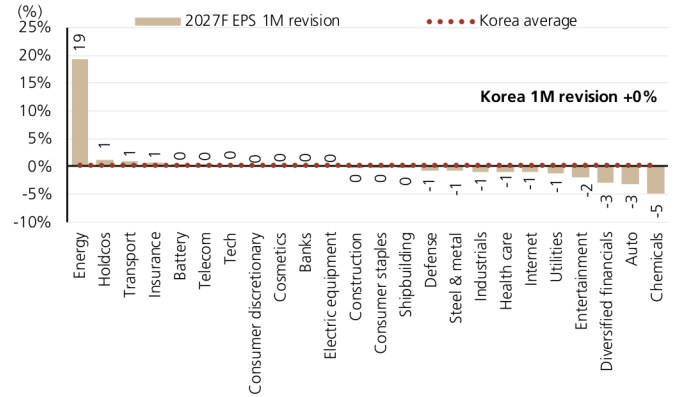


Source: Bloomberg

KOSPI 1M consensus 2027F EPS revisions – tech vs non-tech



Korea 1M consensus 2027F EPS revisions by sector



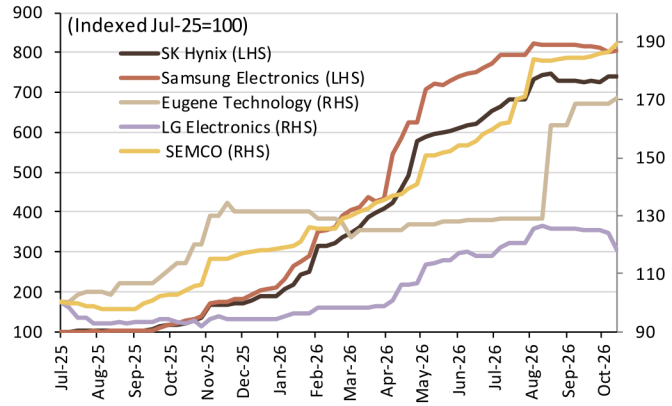
UBS *Source: Bloomberg*

Source: Bloomberg

14

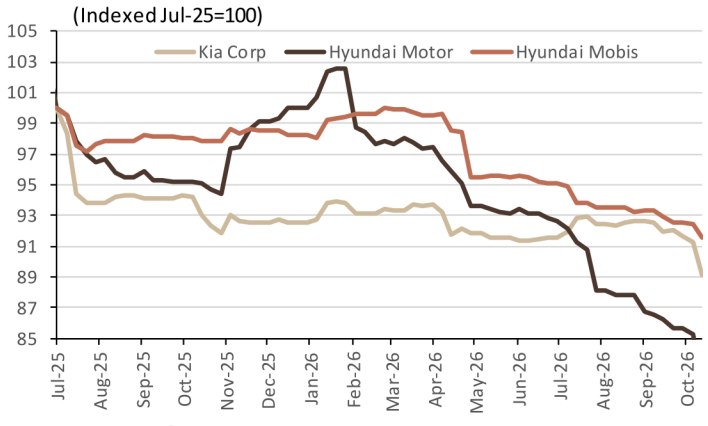
2026 consensus revisions trend - tech, auto, yards and defense

Tech stocks 2026E EPS revision

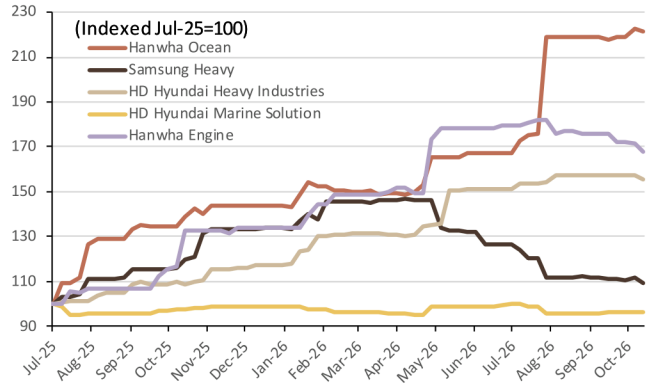


Source: Bloomberg

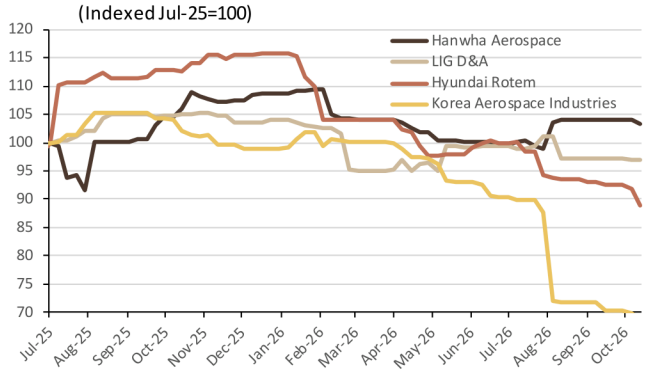
Auto stocks 2026E EPS revision



Shipbuilding stocks 2026E EPS revision



Defense stocks 2026E EPS revision

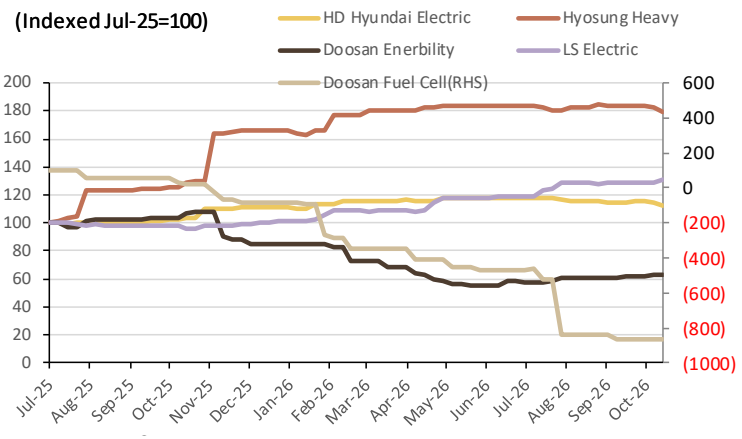


UBS *Source: Bloomberg*

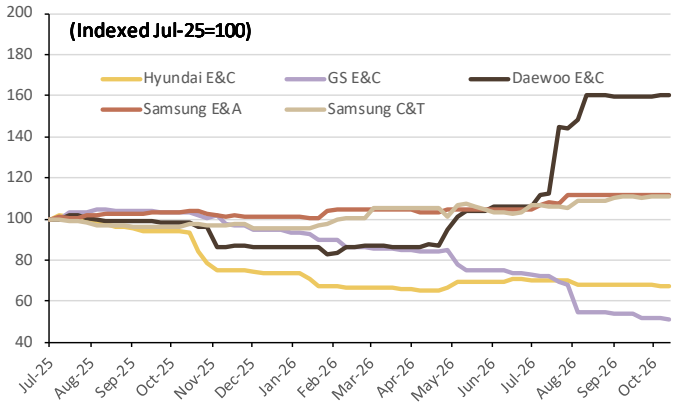
Source: Bloomberg

2026 consensus revisions trend – Power, E&C, Telco, Internet

Nuclear/power equip stocks 2026E EPS revision

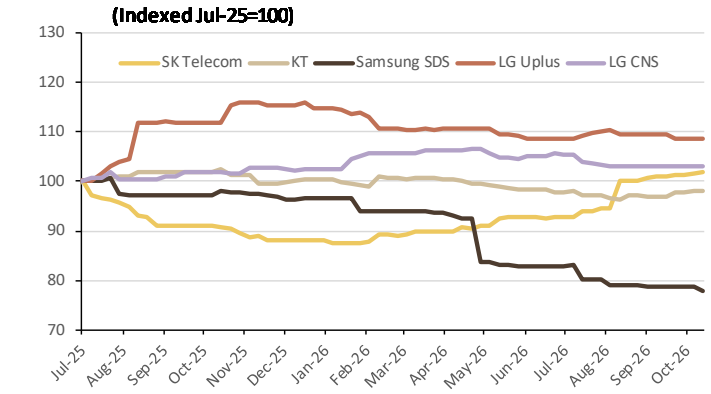


E&C stocks 2026E EPS revision

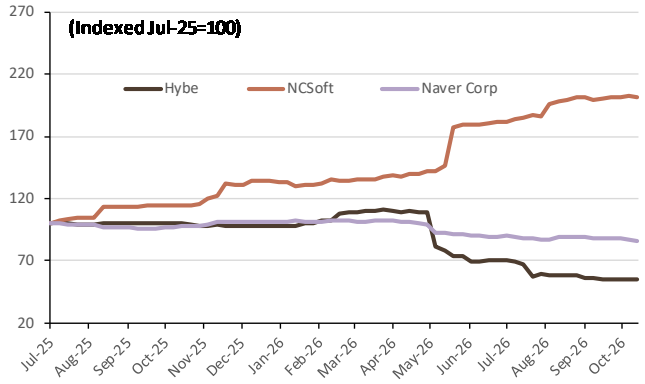


Source: Bloomberg

Telco & DC stocks 2026E EPS revision



Internet, Game, Entertainment stocks 2026E EPS revision



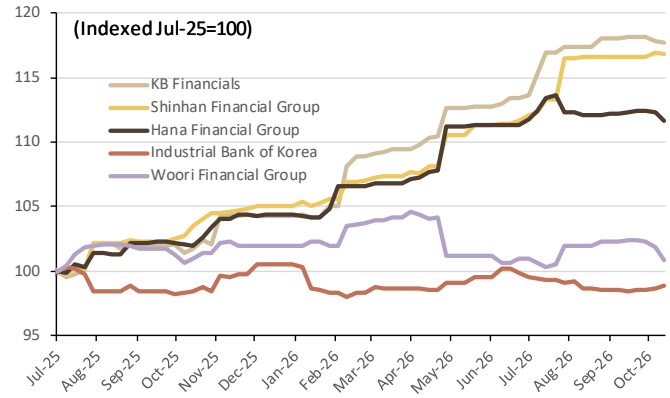
UBS *Source: Bloomberg*

Source: Bloomberg

16

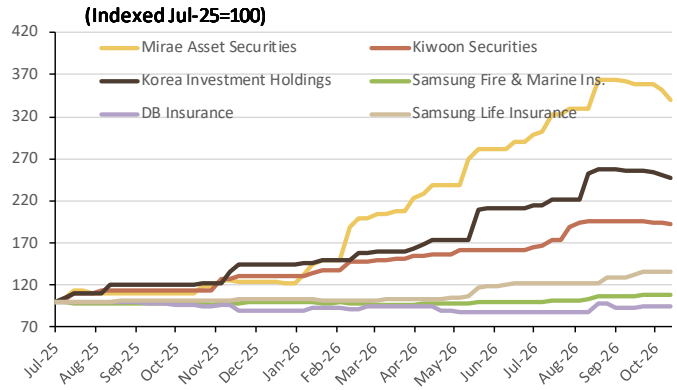
2026 consensus revisions trend – Financials, Cosmetics, Consumer

Bank financial stocks 2026E EPS revision



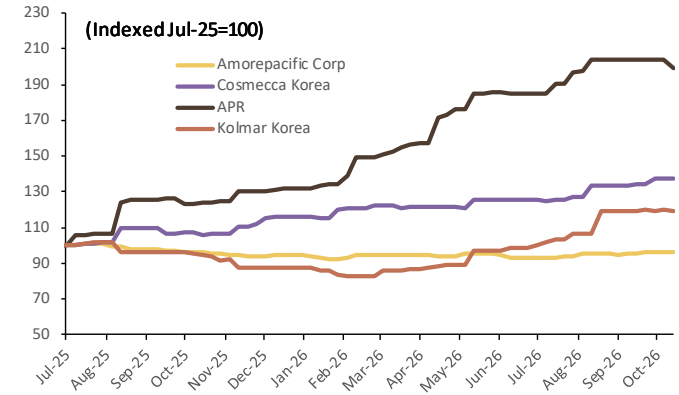
Source: Bloomberg

Non-bank financial stocks 2026E EPS revision



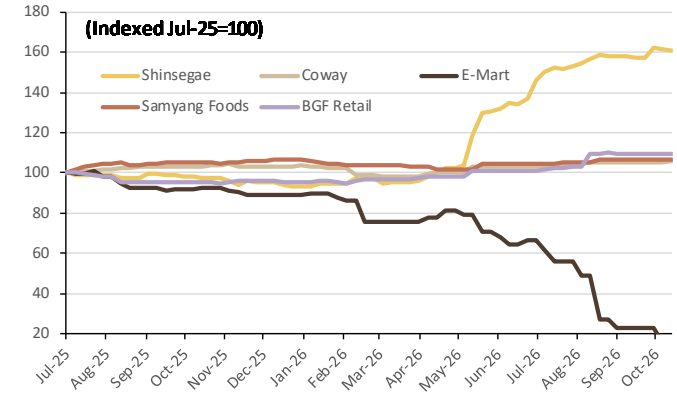
Source: Bloomberg

Cosmetics stocks 2026E EPS revision



Source: Bloomberg

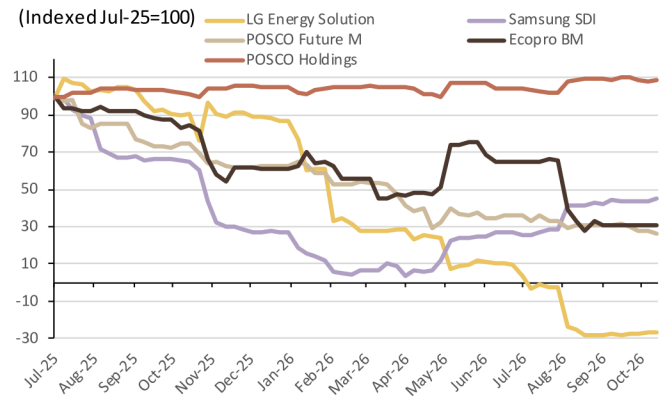
Consumer (ex Cosmetics) stocks 2026E EPS revision



Source: Bloomberg

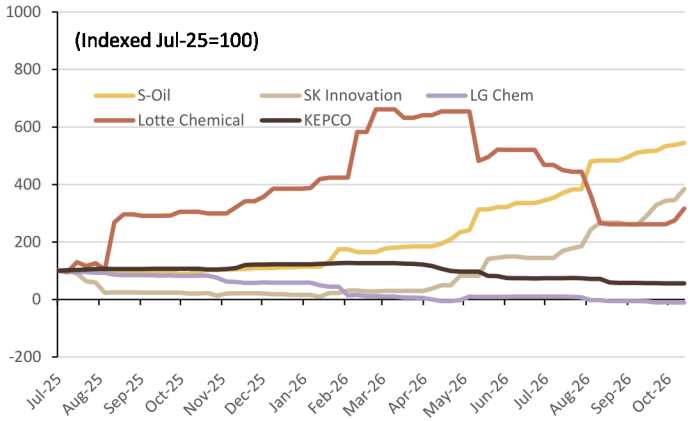
2026 consensus revisions trend – Battery, Energy/chem

Battery stocks 2026E EPS revision



Source: Bloomberg

Energy, Chem, Utility stocks 2026E EPS revision

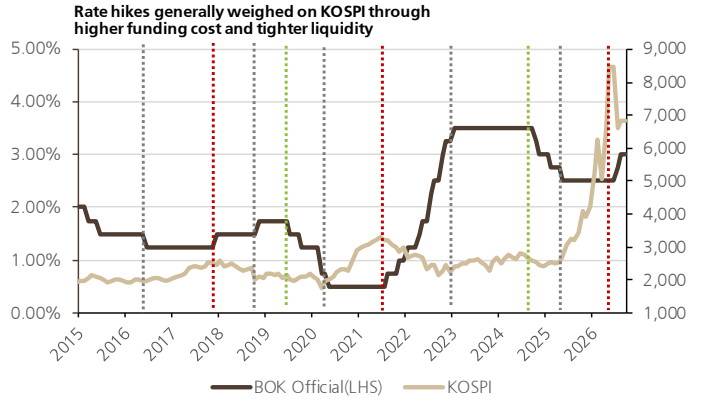


Source: Bloomberg

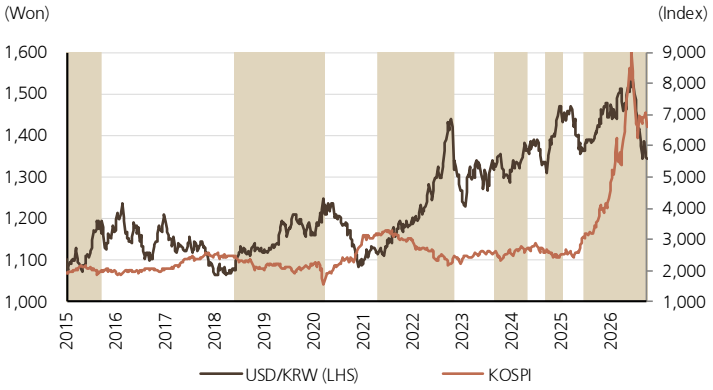
UBS

Shifts in rates/FX have marked a turning point in KOSPI's trajectory

KOSPI vs BOK rate



KOSPI vs FX



UBS economic outlook forecast

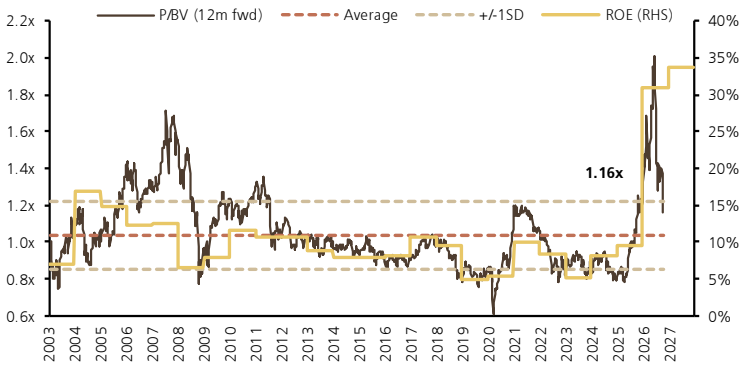
	2023	2024	2025	2026E	2027E	2028E
Interest Rates (end of period)						
South Korea	**3.50**	**3.00**	**2.50**	**3.25**	**3.25**	**3.25**
US Fed funds rate	**5.50**	**4.50**	**3.75**	**4.25**	**4.25**	**3.75**
US 10 year bond yield	3.88	4.58	4.18	4.80	4.45	NA
ECB Depo rate	4.00	3.00	2.00	2.75	2.50	2.50
Bunds 10 year	2.03	2.36	2.86	3.50	3.25	NA
Japan	0.05	0.25	0.53	1.50	2.00	2.00
GDP growth						
World	**3.4**	**3.6**	**3.5**	**3.2**	**3.4**	**3.3**
Emerging markets	**4.8**	**4.8**	**4.7**	**4.0**	**4.6**	**4.3**
Developed markets	1.8	2.0	1.9	2.2	1.8	1.8
US	2.9	3.0	2.3	2.4	2.1	2.3
EU	**0.5**	**1.3**	**1.2**	**1.4**	**1.5**	**1.3**
UK	0.3	1.0	1.2	1.5	1.1	1.3
Switzerland	1.1	1.5	1.6	2.2	1.2	1.9
Japan	0.9	0.1	1.2	0.9	0.9	1.0
Asia ex Japan	**5.2**	**5.2**	**5.4**	**5.1**	**5.0**	**4.7**
China	5.4	5.0	5.0	4.5	4.6	4.2
South Korea	**1.5**	**2.2**	**1.1**	**3.5**	**2.5**	**2.4**
Taiwan	1.1	5.3	8.8	11.0	4.3	3.0
India	7.3	7.2	7.8	7.2	7.0	7.0
Indonesia	5.0	5.0	5.1	5.1	5.2	5.1
EMEA	3.1	3.8	2.7	1.1	3.6	2.7
Latam	2.1	2.1	2.1	1.6	2.1	2.2
Inflation						
World	**6.0**	**5.7**	**3.3**	**3.8**	**3.3**	**2.7**
Emerging markets	**7.2**	**7.9**	**3.8**	**4.3**	**3.8**	**3.2**
Developed markets	4.6	2.6	2.4	3.0	2.5	1.8
US	4.1	3.0	2.7	3.4	2.4	1.8
Euro area	**5.5**	**2.4**	**2.1**	**3.0**	**3.0**	**2.0**
Japan	3.3	2.7	3.2	1.9	2.2	1.3
Asia ex Japan	**2.2**	**1.7**	**0.9**	**2.2**	**2.2**	**2.1**
China	0.2	0.2	0.0	0.6	0.6	1.0
South Korea	**3.6**	**2.3**	**2.1**	**2.8**	**2.2**	**1.7**
Taiwan	2.5	2.2	1.6	1.9	1.9	2.1
India	5.4	4.6	2.1	5.2	5.2	4.3
Indonesia	3.7	2.3	1.9	3.4	3.6	2.9
Fx rates						
EUR/USD	1.08	1.07	1.18	1.12	1.12	NA
GBP/USD	1.24	1.29	1.34	1.32	1.32	NA
USD/JPY	140	155	152	165	160	NA
USD/RMB	7.09	7.30	6.99	7.00	6.90	NA
USD/KRW	**1288**	**1473**	**1439**	**1460**	**1500**	**NA**

UBS *Sources: Bloomberg, Refinitiv, UBS estimates*

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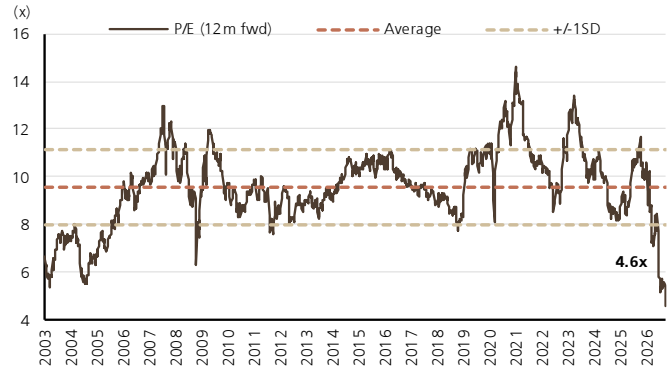
KOSPI PE low, P/BV high compared to its history

KOSPI P/BV (12m rolling forward) vs ROE



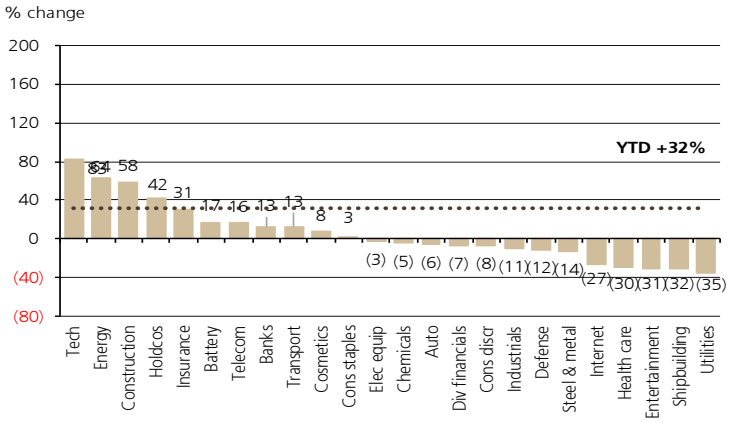
Source: WiseFn

KOSPI market PE (12m rolling forward)

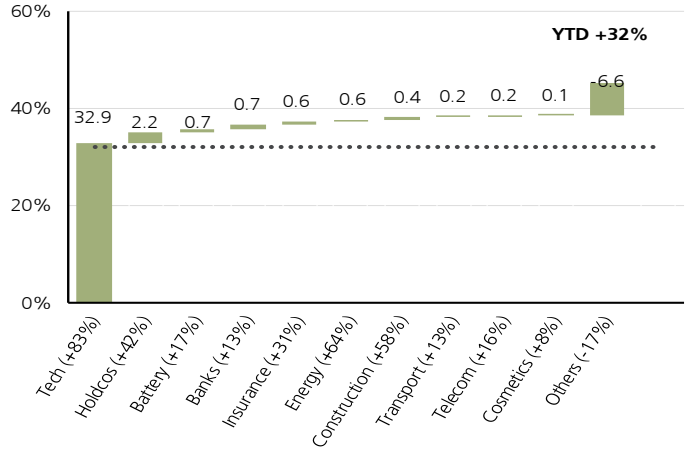


Source: WiseFn

Share price performance by sector



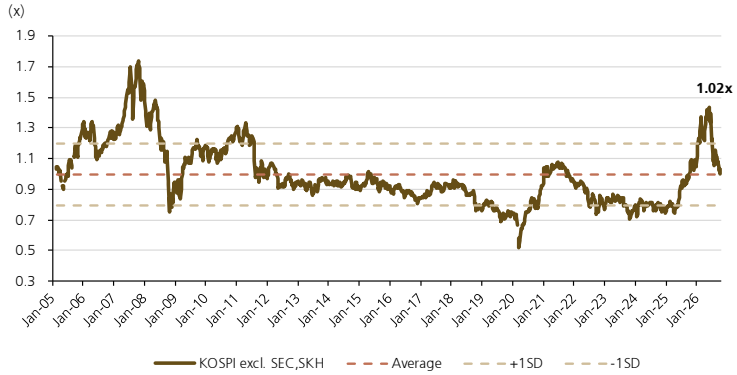
Index performance contribution by sector



Source: WiseFn, UBS estimates. Note: Priced as of 15 Oct 2026; 12M fwd multiples for Tech, Construction, Holdcos, Div fin, Steel & metals, and Elec equip are at historical highs(overlapping levels on chart)

KOSPI valuation non-SEC/SKH not as extreme

KOSPI market P/BV ex. SEC/SKH



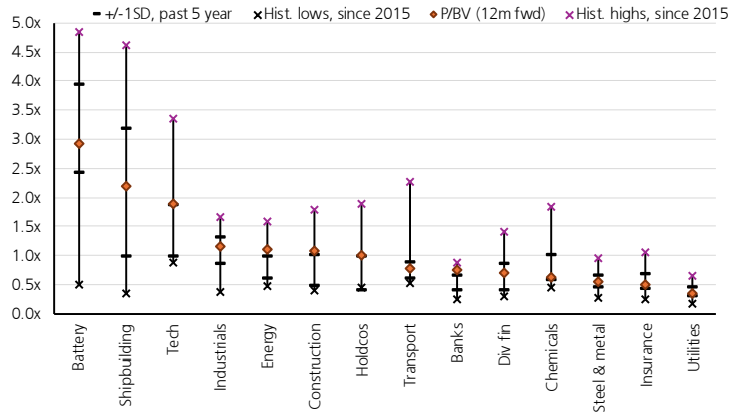
Source: WiseFn

KOSPI market PE ex. SEC/SKH

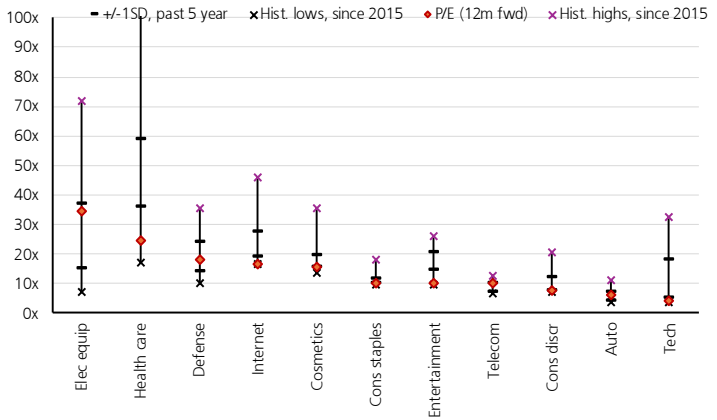


Source: WiseFn

Sector P/BV vs historical trading range



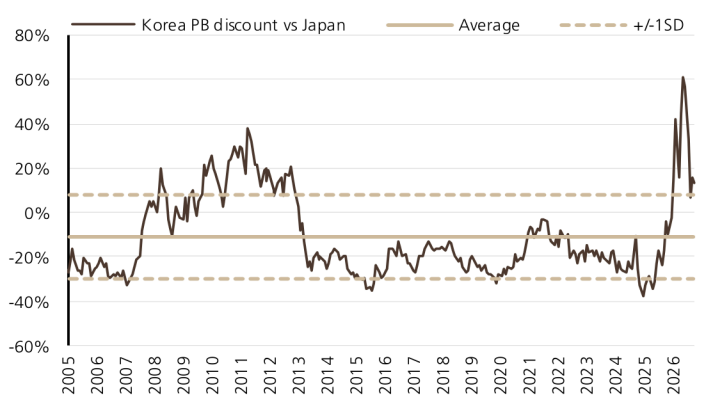
Sector P/E vs historical trading range



Source: WiseFn, UBS estimates. Note: Priced as of Oct 2026; 12M fwd multiples for Tech, Construction, Holdcos, Div fin, Steel & metals, and Elec equip are at historical highs(overlapping levels on chart)

KOSPI valuation gap now stabilized given both are tech heavy

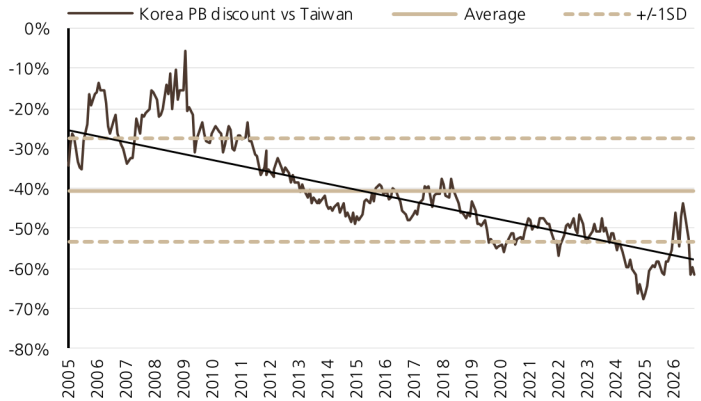
KOSPI P/BV relative to TOPIX



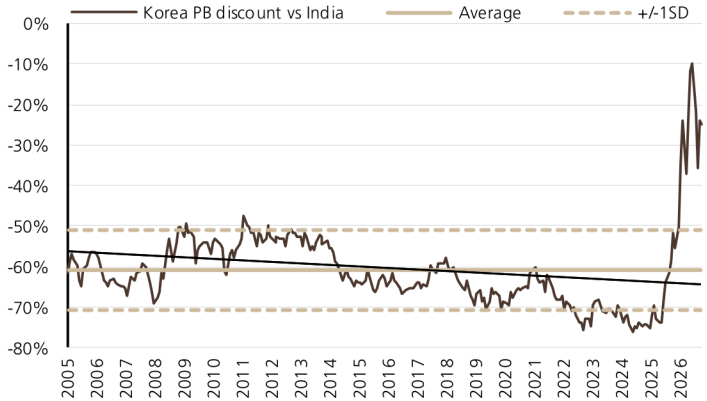
KOSPI P/BV relative to SSE



KOSPI P/BV relative to Taiwan



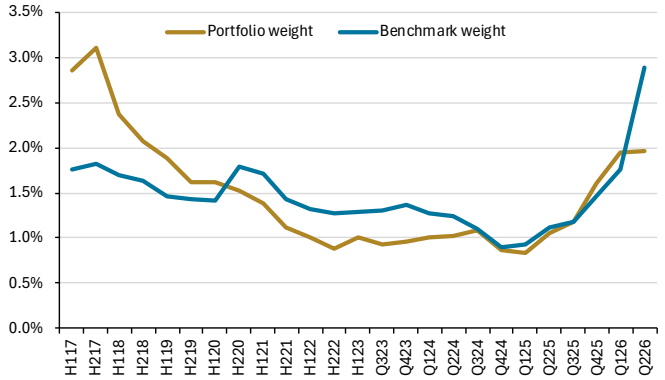
KOSPI P/BV relative to India



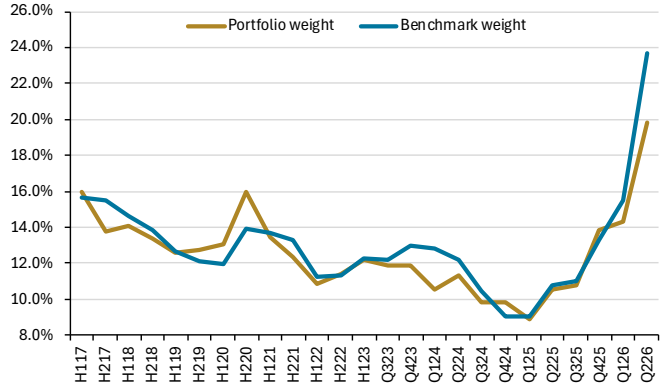
UBS *Source: Bloomberg, WiseFn, UBS estimates*

Both EM and Global funds' Korea exposure falls below benchmark

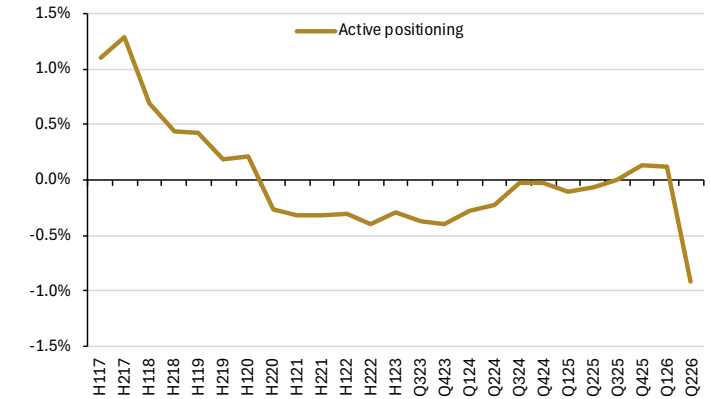
Global fund positioning in Korea: Still Neutral



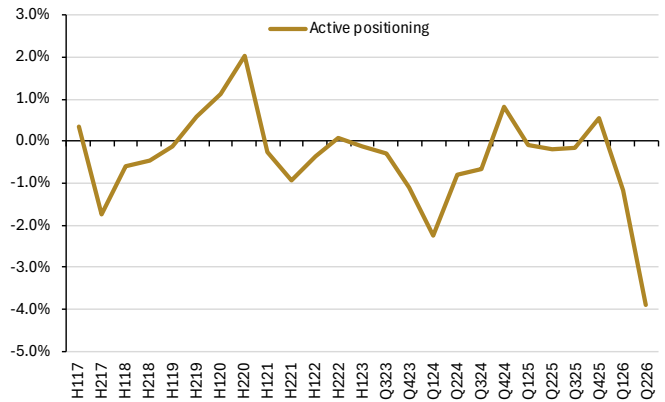
EM fund positioning in Korea: Have fallen to U/W given O/P and EM net outflow



Global funds active weight (vs MSCI ACWI) changes in Korea



EM funds active weight (vs MSCI EM) changes in Korea

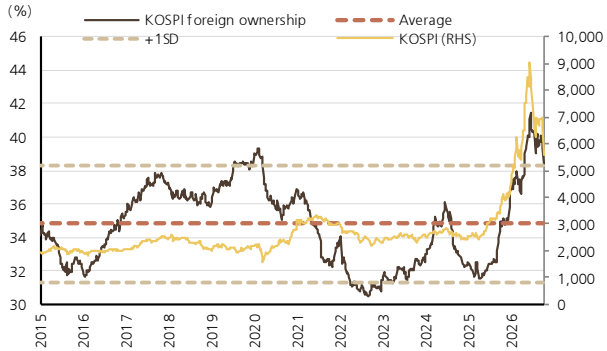


UBS *Sources: Bloomberg, Note: updated as of Q226.*

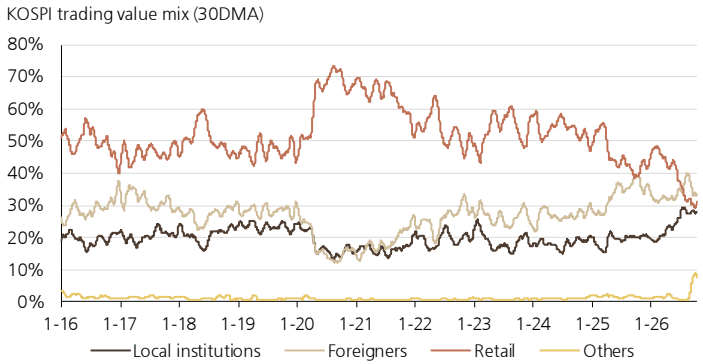
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KOSPI foreign ownership still high despite foreign outflows

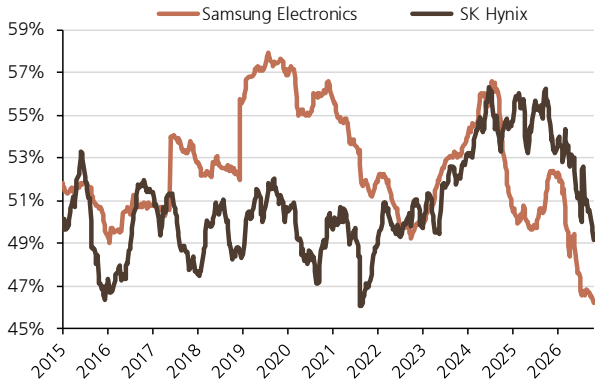
KOSPI foreign ownership



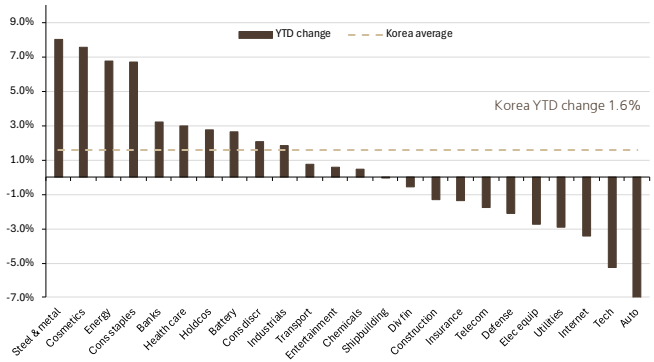
Trading volume breakdown by investor type



SEC & Hynix foreign ownership



Foreign ownership YTD change by sector



UBS *Sources: KRX, WiseFN*

24

Net buying by sector & investor type: Foreigners turn net sell in Oct, while local instos turn net buy and retail continues to buy

Monthly net buying/(selling) by sector/investor type – KOSPI & KOSDAQ

(Won bn)	Energy	Materials	Industrials	Cons discre	Staples	Health care	Financials	Tech	Comms svc	Utilities	Total
Foreigners											
27-2 Aug	(87)	(9)	270	331	19	(2)	(3)	(151)	(206)	16	607
3-9 Aug	(197)	(151)	(95)	308	66	(1)	(7,127)	137	(12)	18	(7,186)
10-16 Aug	35	16	356	648	81	260	180	4,225	17	(17)	5,929
17-23 Aug	(29)	(103)	(263)	(178)	(11)	(137)	(170)	(725)	(182)	(13)	(2,215)
24-30 Aug	3	(16)	194	(214)	(37)	(125)	(79)	(6,258)	(211)	(79)	(7,833)
31-06 Sep	65	(180)	(719)	16	25	(310)	(27)	(1,376)	(24)	(25)	(2,531)
07-11 Sep	245	(132)	155	148	10	208	179	(3,929)	38	(33)	(3,257)
12-18 Sep	53	(210)	(627)	(316)	(13)	(147)	(365)	(5,952)	(559)	(106)	(8,851)
19-27 Sep	100	(196)	(1,016)	(194)	18	(27)	(185)	689	(48)	(44)	(647)
28-04 Oct	185	(70)	(306)	(178)	(49)	(173)	351	(7,528)	(20)	(11)	(8,411)
05-11 Oct	(11)	(84)	(1,129)	(60)	20	(323)	(42)	(4,688)	(93)	(28)	(6,510)
12-14 Oct	(56)	(117)	(87)	26	6	24	(382)	(7,126)	63	29	(7,861)
Aug-26	(175)	(244)	(72)	558	97	(108)	(17)	(10,120)	(371)	(103)	(12,005)
Sep-26	513	(728)	(2,296)	(453)	28	(242)	(477)	(17,479)	(561)	(202)	(23,062)
Oct-26	55	(271)	(1,168)	(98)	(9)	(400)	91	(12,197)	(100)	(3)	(14,307)
2024	(222)	(2,934)	8,530	3,023	(409)	1,471	927	(9,202)	302	596	2,795
2025	850	(1,181)	1,701	(324)	(731)	(3,060)	(4,179)	(243)	(2,371)	1,482	(6,738)
2026YTD	2,004	467	(1,094)	(12,381)	926	2,748	(3,224)	(182,200)	(2,781)	(642)	(201,484)
Local institutions											
27-2 Aug	(42)	98	249	224	119	597	222	4,226	255	16	5,891
3-9 Aug	181	174	548	(28)	8	369	(44)	(2,953)	163	(3)	(1,652)
10-16 Aug	158	(27)	(565)	(467)	(174)	(299)	(225)	2,543	(142)	(148)	732
17-23 Aug	91	(61)	(769)	(201)	94	(192)	13	(2,079)	(33)	(45)	(2,970)
24-30 Aug	54	398	1,188	(322)	165	240	371	(2,919)	235	60	(549)
31-06 Sep	218	48	913	(369)	5	(405)	655	(2,611)	(95)	11	(1,604)
07-11 Sep	(102)	6	759	(565)	(164)	(656)	30	5,096	(284)	60	4,412
12-18 Sep	(52)	185	448	89	34	86	248	6	(89)	(57)	1,073
19-27 Sep	(33)	(65)	(153)	(187)	(95)	(110)	170	2,282	(153)	(32)	1,600
28-04 Oct	75	146	(499)	(75)	10	53	162	28	(81)	(28)	(329)
05-11 Oct	144	68	(562)	(145)	(12)	(84)	(78)	(1,835)	(44)	17	(2,598)
12-14 Oct	168	86	248	179	49	(36)	428	765	60	16	1,994
Aug-26	540	487	326	(904)	108	28	198	(6,406)	146	(139)	(5,429)
Sep-26	75	175	1,690	(1,164)	(231)	(1,070)	1,059	4,459	(606)	(5)	4,740
Oct-26	286	296	(460)	(24)	43	6	472	272	(5)	27	798
2024	(76)	1,978	70	(8)	267	(259)	3,816	(9,090)	567	42	(2,833)
2025	220	1,482	1,579	255	(573)	(1,640)	6,481	10,789	(502)	402	19,211
2026YTD	2,410	1,017	6,615	(949)	(20)	370	6,290	32,249	(136)	(746)	48,369
Retail investors											
27-2 Aug	136	(99)	(558)	(549)	(133)	(578)	(234)	(4,050)	(73)	(39)	(6,538)
3-9 Aug	7	(29)	(485)	(286)	(70)	(369)	(87)	9,786	(161)	(15)	8,483
10-16 Aug	(183)	13	169	(193)	87	36	79	(6,532)	119	158	(6,439)
17-23 Aug	(62)	161	1,019	365	(81)	329	148	600	195	50	2,890
24-30 Aug	(71)	(383)	(1,366)	520	(133)	(114)	(295)	1,220	(38)	13	352
31-06 Sep	(277)	136	659	281	(31)	683	(144)	(3,669)	86	14	(2,315)
07-11 Sep	(145)	106	(1,025)	347	152	396	(200)	(9,428)	228	(25)	(9,685)
12-18 Sep	(2)	(18)	233	153	(24)	46	112	(1,987)	620	163	(326)
19-27 Sep	(66)	236	1,161	350	83	140	2	(7,814)	190	74	(5,876)
28-04 Oct	(257)	(89)	808	235	4	86	154	(385)	88	34	1,388
05-11 Oct	(135)	15	1,675	198	(15)	375	112	4,184	133	12	6,684
12-14 Oct	(105)	25	(231)	(210)	(62)	(20)	(47)	4,496	(133)	(43)	3,854
Aug-26	(377)	(252)	(329)	290	(209)	69	(152)	4,755	168	222	5,394
Sep-26	(579)	461	1,399	1,369	183	1,206	(113)	(18,952)	1,068	235	(13,027)
Oct-26	(340)	(38)	1,546	101	(64)	313	100	4,668	92	(22)	6,645
2024	399	941	(7,471)	(3,447)	(420)	(921)	(3,334)	17,202	(493)	(572)	1,047
2025	(1,103)	(556)	(2,905)	(1,398)	853	4,775	(1,947)	(16,160)	3,832	(1,751)	(19,282)
2026YTD	(3,637)	(2,147)	(1,658)	11,934	(972)	(2,391)	(1,559)	86,074	2,549	1,401	93,220

Source: KRX. Note: As of 14 Oct 2026

National Pension AUM and mix – Allocation targets have recently been revised to prevent excessive market volatility from rebalancing

National Pensions – AUM and mix

															Announced in May 2025	Announced in May 2026		
															Allocation targets	Allocation targets		
Won trn; at year-end	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2M26	3M26	2025F	2026F	2027F	2031F
Total AUM	**469.8**	**512.3**	**558.3**	**621.6**	**638.8**	**736.7**	**833.7**	**948.7**	**890.5**	**1,035.8**	**1,212.3**	**1,457.3**	**1,609.4**	**1,528.1**	**1,288**	**1,528**	**1,605**	**1,950**
YoY change	*10%*	*9%*	*9%*	*11%*	*3%*	*15%*	*13%*	*14%*	*-6%*	*16%*	*17%*	*20%*			*6%*	*5%*	*5%*	*n.m.*
Equity	**140.5**	**164.8**	**188.0**	**239.8**	**221.9**	**298.8**	**369.5**	**422.4**	**366.3**	**468.4**	**570.7**	**814.2**	**968.2**	**877.9**	**655**	**848**	**905**	**955**
Domestic	83.9	94.9	102.4	131.5	108.9	132.3	176.7	165.8	125.4	148.0	139.7	263.7	395.1	320.9	192	318	334	n.a.
Overseas	56.6	69.9	85.7	108.3	113.0	166.5	192.8	256.6	240.9	320.4	431.0	550.5	573.1	557.0	463	530	571	n.a.
Fixed Income	**278.7**	**290.2**	**302.6**	**312.7**	**337.6**	**351.2**	**370.9**	**403.9**	**374.5**	**399.7**	**432.6**	**406.1**	**398.9**	**397.9**	**445**	**466**	**469**	**521**
Domestic	258.1	268.6	279.3	289.4	311.0	320.8	326.0	340.0	311.2	326.0	344.3	304.8	297.7	292.6	342	353	350	n.a.
Overseas	20.6	21.6	23.2	23.3	26.6	30.5	44.9	63.9	63.3	73.7	88.3	101.3	101.2	105.3	103	113	119	n.a.
Alternative investments	**46.7**	**54.7**	**63.7**	**66.8**	**76.6**	**84.3**	**90.7**	**119.3**	**146.2**	**164.2**	**206.9**	**232.6**	**234.4**	**247.6**	**189**	**214**	**229**	**260**
Short-term financial assets	3.4	2.0	3.4	1.7	2.1	1.8	2.0	2.5	2.0	2.5	3.5	4.4	5.6	3.0				
Others	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.4	0.4	0.4	0.0	2.3	1.7				
As % of total AUM	**2014**	**2015**	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**	**2M26**	**3M26**	**2025F**	**2026F**	**2027F**	**2031F**
Equity	**29.9%**	**32.2%**	**33.7%**	**38.6%**	**34.7%**	**40.6%**	**44.3%**	**44.5%**	**41.1%**	**45.2%**	**47.1%**	**55.9%**	**60.2%**	**57.5%**	**50.8%**	**55.5%**	**56.4%**	**~55%**
Domestic	17.9%	18.5%	18.3%	21.2%	17.1%	18.0%	21.2%	17.5%	14.1%	14.3%	11.5%	18.1%	24.5%	21.0%	14.9%	20.8%	20.8%	n.a.
Overseas	12.0%	13.7%	15.3%	17.4%	17.7%	22.6%	23.1%	27.0%	27.1%	30.9%	35.6%	37.8%	35.6%	36.5%	35.9%	34.7%	35.6%	n.a.
Fixed Income	**59.3%**	**56.6%**	**54.2%**	**50.3%**	**52.8%**	**47.7%**	**44.5%**	**42.6%**	**42.1%**	**38.6%**	**35.7%**	**27.9%**	**24.8%**	**26.0%**	**34.5%**	**30.5%**	**29.2%**	**~30%**
Domestic	54.9%	52.4%	50.0%	46.6%	48.7%	43.5%	39.1%	35.8%	34.9%	31.5%	28.4%	20.9%	18.5%	19.1%	26.5%	23.1%	21.8%	n.a.
Overseas	4.4%	4.2%	4.2%	3.7%	4.2%	4.1%	5.4%	6.7%	7.1%	7.1%	7.3%	7.0%	6.3%	6.9%	8.0%	7.4%	7.4%	n.a.
Alternative investments	**9.9%**	**10.7%**	**11.4%**	**10.7%**	**12.0%**	**11.4%**	**10.9%**	**12.6%**	**16.4%**	**15.9%**	**17.1%**	**16.0%**	**14.6%**	**16.2%**	**14.6%**	**14.0%**	**14.3%**	**~15%**
Short-term financial assets	0.7%	0.4%	0.6%	0.3%	0.3%	0.2%	0.2%	0.3%	0.2%	0.2%	0.3%	0.3%	0.3%					
Others	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.0%	0.0%	0.0%	0.0%	0.1%					

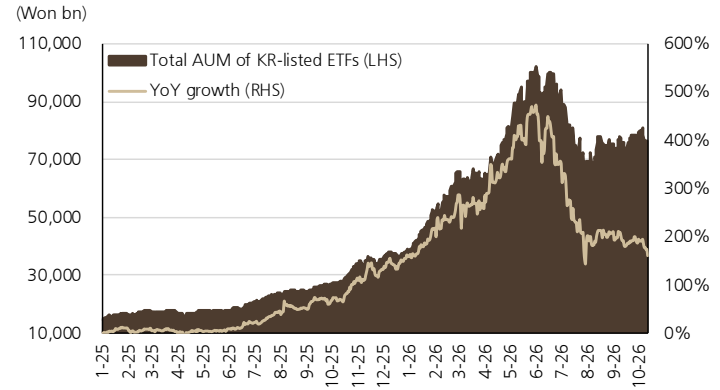
NPS Potential Sell-off Scenarios

(%, Wtrn)	14.9%	15.9%	16.9%	17.9%	18.9%	19.9%	20.9%	21.9%	22.9%	23.9%	24.9%	25.9%	26.9%	27.9%
Target+0pp (No bands)	203.4	185.4	167.4	149.4	131.4	113.4	95.4	77.4	59.4	41.4	23.4	5.4	0.0	0.0
Target+3pp (SAA band)	149.4	131.4	113.4	95.4	77.4	59.4	41.4	23.4	5.4	0.0	0.0	0.0	0.0	0.0
Target+5pp (SAA+TAA bands)	113.4	95.4	77.4	59.4	41.4	23.4	5.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0

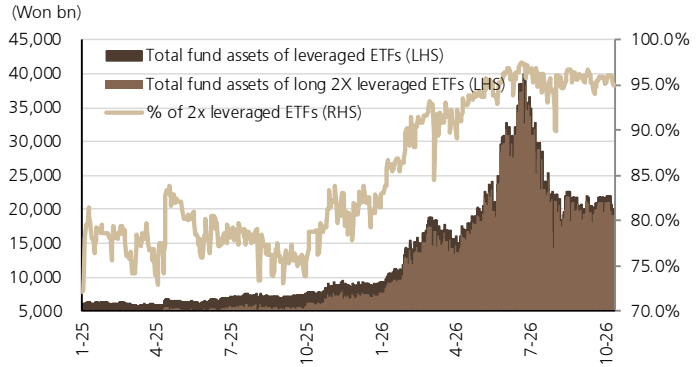
Source: National Pension Service
Note: NPS is allowed a +/-5ppt deviation range from allocation target
1) Strategic asset allocation (SAA) range of +/-3ppt: Allowed range for asset price volatilities in the market
2) Tactical asset allocation (TAA) range of +/-2ppt: Allowed range for tactical decisions by fund managers for excess return

Single-stock leveraged ETF activities now low and stable – unlikely to drive market volatility

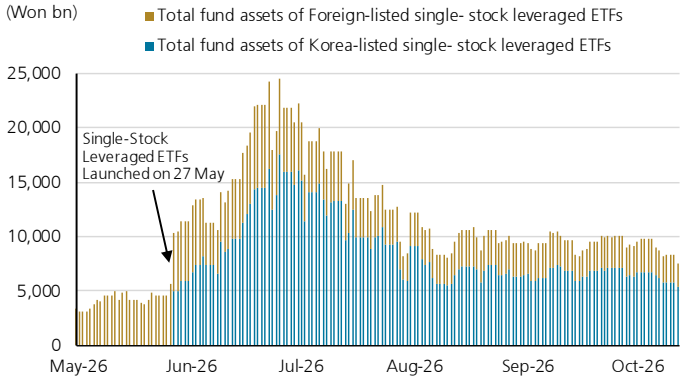
AUM of KR-listed ETFs excluding foreign equities



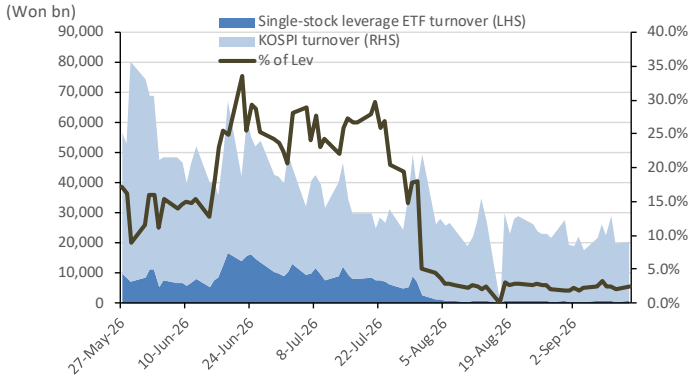
Total fund assets of KR-listed long 2X leveraged ETFs



Total fund assets of KR-listed single-stock leveraged ETFs



KOSPI single-stock leverage ETF turnover

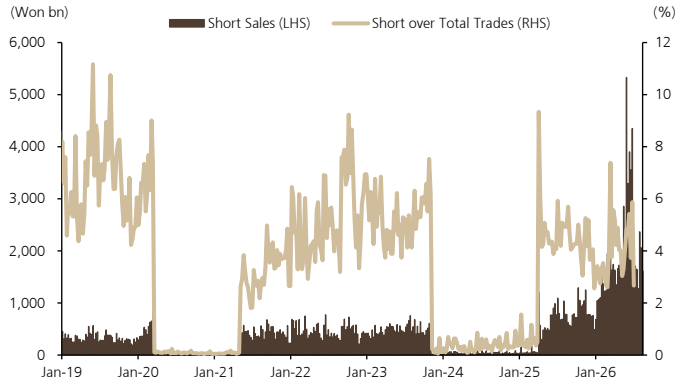


UBS *Sources: KRX, WiseFN, Bloomberg*

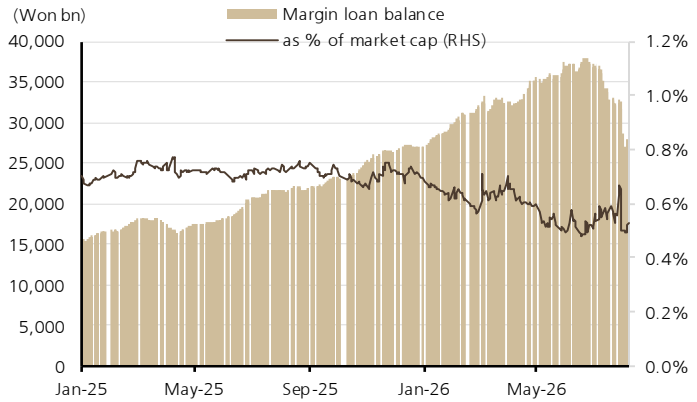
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Retail indicators point to lower market volatility as flows normalize

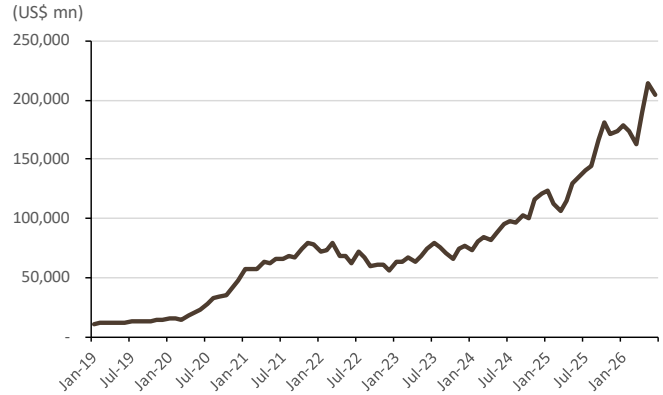
KOSPI Short position



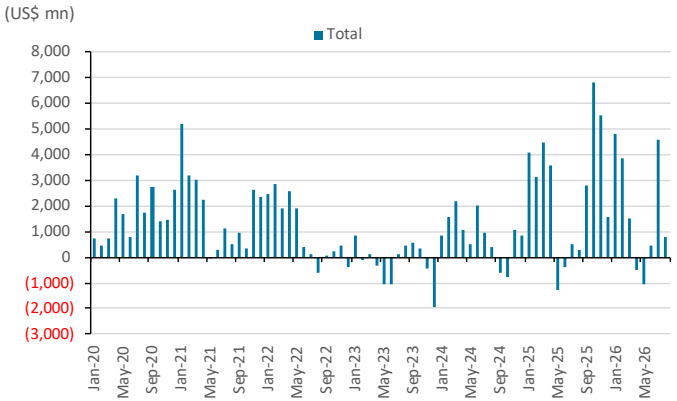
KOSPI Margin balance



Koreans' overseas investment



Korean investors' monthly net buy of foreign equities

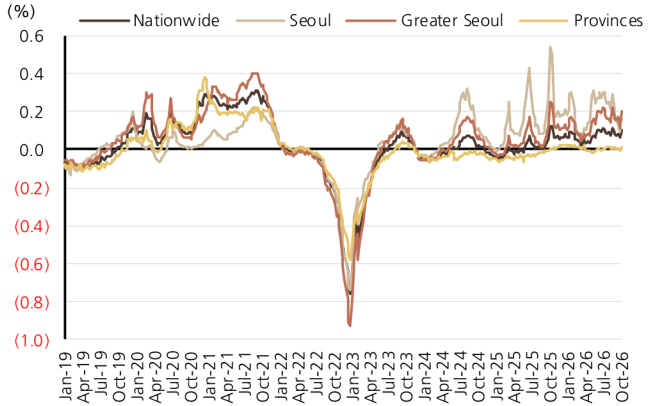


UBS *Source: Bloomberg, IBES, Refinitiv, WiseFn, UBS estimates*

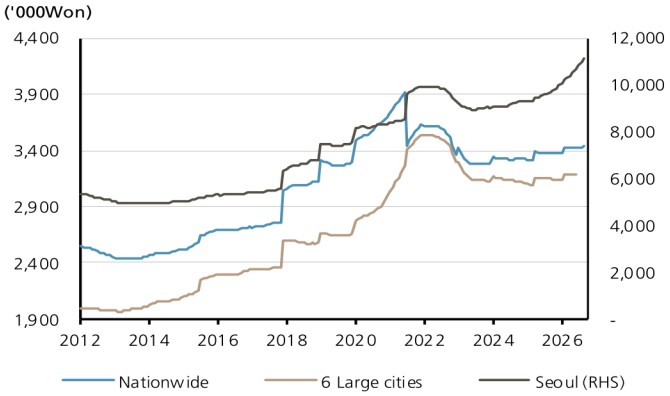
28

Household debt remains a key constraint on housing demand and retail investor participation.

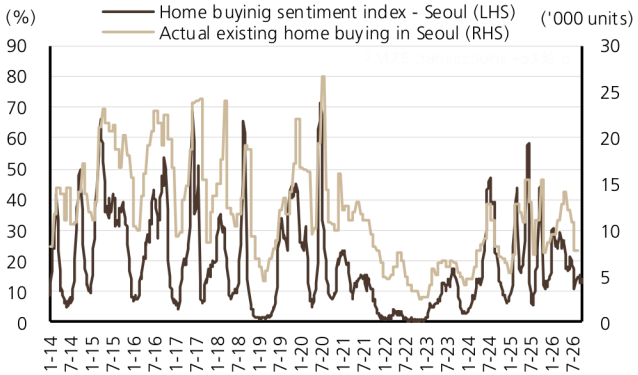
Korea apartment price WoW change



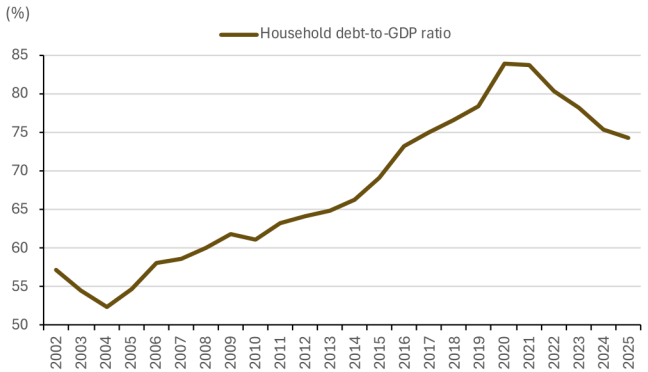
Korea median apartment price/sqm



Korea nationwide transaction & sentiment



Korea household debt-to-GDP ratio



UBS *Source: Bloomberg, IBES, Refinitiv, WiseFn, UBS estimates*

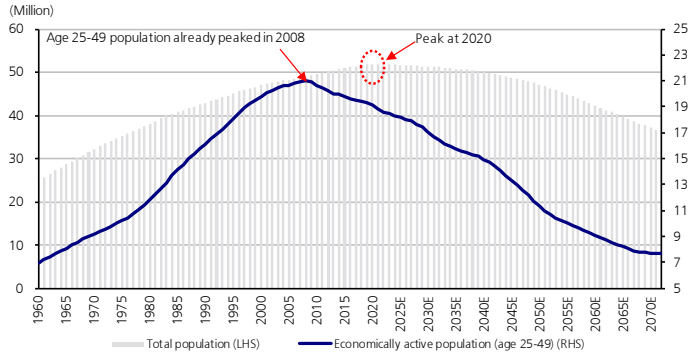
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SECTION 3

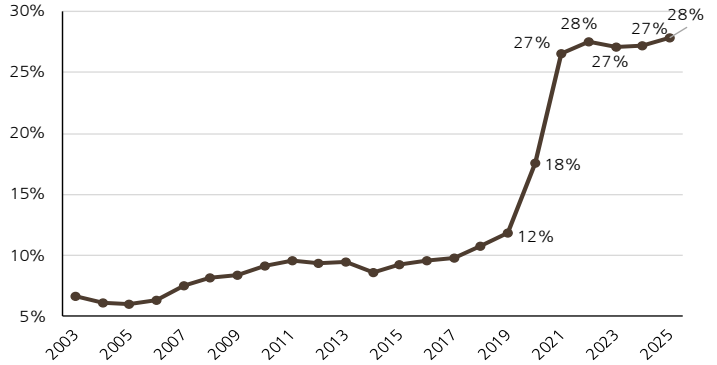
Corporate reaction to policy reforms to be key driver in H226

Expect self-interest to drive shareholder reform in Korea: 1) policy makers

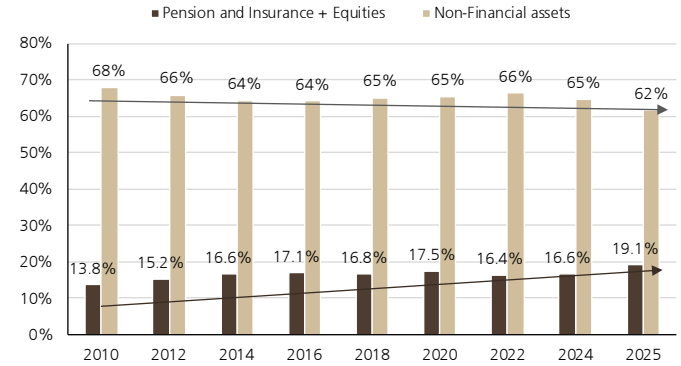
Korea population has peaked – real estate not the best asset for households to hold



Korea retail participation rate jumped to 28% - a political interest group that policy makers cannot ignore



Korea household asset mix, 2010-2025 – Non-financial (real estate) mix falling while financials, especially equities, increasing



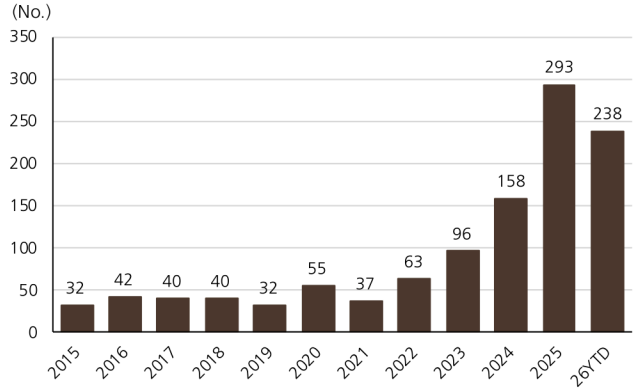
Equity mix as % of household asset: Korea vs foreign countries

	KR ('25)	US ('24)	JP ('23)	UK ('24)	AU ('24)	*Peer avg.*
Non-financial assets	**62%**	**32%**	**36%**	**52%**	**60%**	***52%***
Financial assets	**38%**	**68%**	**64%**	**48%**	**40%**	***48%***
Currency & deposits	17%	10%	32%	16%	9%	*16%*
Financial inv. products	11%	38%	13%	8%	8%	*14%*
Equities	**9%**	**29%**	**9%**	**8%**	**8%**	***11%***
Fixed income	1%	3%	1%	0%	0%	*1%*
Mutual funds	1%	6%	4%	0%	0%	*2%*
Pension funds & insur.	10%	18%	17%	23%	22%	*16%*
Other financial assets	0%	2%	1%	1%	1%	*2%*

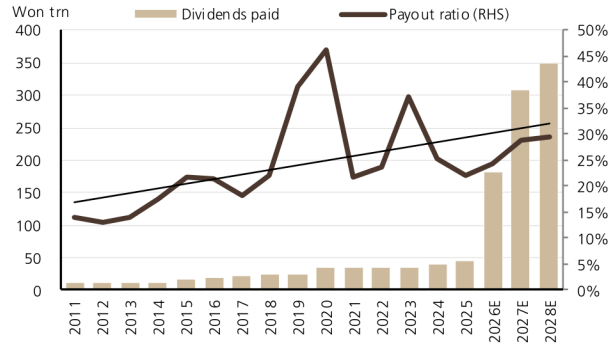
Source: Korea Securities Depository, Kostat, BoK, Bloomberg, WiseFn, Korea Financial Investment Association
Note: Number of people participating in local equity investment divided by total population

Expect self-interest to drive shareholder reform in Korea: 2) corporates; and 3) minority shareholders

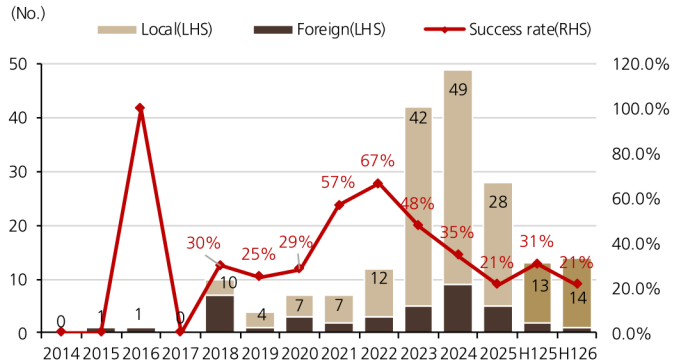
Number of stock cancellations in Korea on the rise even without legal requirements



Korea dividend paid and average payout ratio also on the rise



Number of activism campaigns by entity: average success rate has been 37%



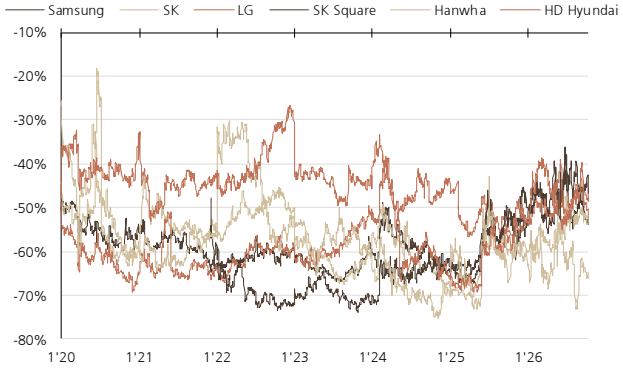
Source: Korea Securities Depository, Kostat, BoK, Bloomberg, WiseFn. Note: Number of people participating in local equity investment divided by total population; Cancellation of common & pref shares announced on the same day is counted as 1 instance; Successful activism campaigns also include partial success;

Korea's holding company discount has narrowed but still at hefty 30-40%

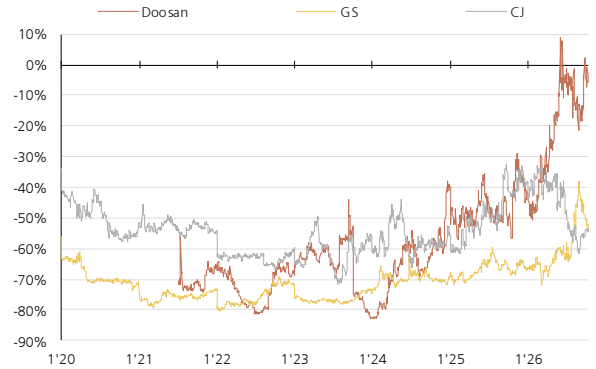
Korean holdings company NAV discounts, dividend yields, foreign ownership and liquidity (ranked by NAV discount)

Rank	Holding company	Stock code	NAV (Won bn)	Market cap (Won bn)	Discount to NAV	Dividend yield	Foreign ownership	ADTV ratio (holdco/opco)
1	AK Holdings	006840.KS	455	88	**81%**	0.0%	5.4%	0.0x
2	Hyosung Corp	004800.KS	10,310	2,479	**76%**	3.4%	21.5%	0.8x
3	BGF Co Ltd	027410.KS	1,404	364	**74%**	3.4%	5.4%	0.1x
4	LG Chem	051910.KS	75,734	20,225	**73%**	0.7%	37%	0.1x
5	Kolon Corp	002020.KS	1,028	292	**72%**	2.4%	13%	0.3x
6	Hanwha Corp	000880.KS	19,735	5,872	**70%**	1.3%	21%	0.3x
7	Seah Holdings	058650.KS	1,711	511	**70%**	3.4%	2%	0.0x
8	Halla Holdings	060980.KS	1,129	338	**70%**	5.3%	12%	0.0x
9	SK Chemical	285130.KS	2,776	893	**68%**	2.2%	10%	0.7x
10	Kolmar Korea Holdings	024720.KS	979	322	**67%**	2.9%	23%	0.0x
11	KCC Corp	002380.KS	10,047	3,957	**61%**	3.3%	21%	47.6x
12	HD KSOE	009540.KS	52,296	20,630	**61%**	3.1%	33%	0.5x
13	LS Corp	006260.KS	20,755	8,346	**60%**	0.6%	16%	0.4x
14	Hankook & Co	000240.KS	5,854	2,535	**57%**	4.1%	9%	0.1x
15	Harim Holdings	003380.KQ	2,876	1,278	**56%**	1.1%	8%	0.9x
16	CJ Corp	001040.KS	8,443	3,805	**55%**	2.3%	19%	1.7x
17	Kakao	035720.KS	31,458	14,309	**55%**	0.2%	29%	3.8x
18	SK Inc	034730.KS	88,114	40,239	**54%**	1.4%	30%	1.3x
19	Samsung C&T	028260.KS	111,239	51,488	**54%**	0.9%	31%	0.0x
20	GS Holdings	078930.KS	20,442	9,661	**53%**	2.9%	21%	6.0x
21	Amorepacific Group	002790.KS	4,053	1,980	**51%**	1.5%	15%	9.3x
22	LG Corp	003550.KS	31,595	16,344	**48%**	2.9%	37%	0.4x
23	HD Hyundai	267250.KS	27,288	14,179	**48%**	2.2%	26%	0.5x
24	SK Square	402340.KS	249,055	138,520	**44%**	0.0%	47%	0.1x
25	HDC Holdings	012630.KS	2,063	1,371	**34%**	2.0%	25%	0.5x
26	Lotte Corp	004990.KS	3,312	2,282	**31%**	5.5%	10%	0.5x
27	Orion Holdings	001800.KS	1,823	1,360	**25%**	4.9%	10%	0.2x
28	Hanmi Science	008930.KS	4,460	3,755	**16%**	0.5%	1%	0.2x
29	Doosan Co Ltd	000150.KS	22,947	21,732	**5%**	0.3%	18%	0.3x
30	HiteJinro Holdings	000140.KS	171	179	**-5%**	4.5%	7%	0.1x
31	Ecopro Co Ltd	086520.KQ	7,420	12,478	**-68%**	0.2%	20%	2.3x
32	Hanjin KAL	180640.KS	3,345	8,699	**-160%**	0.3%	19%	0.2x

NAV discount of Pure Holdcos: Samsung, SK, LG, SK square, Hanwha, HD Hyundai



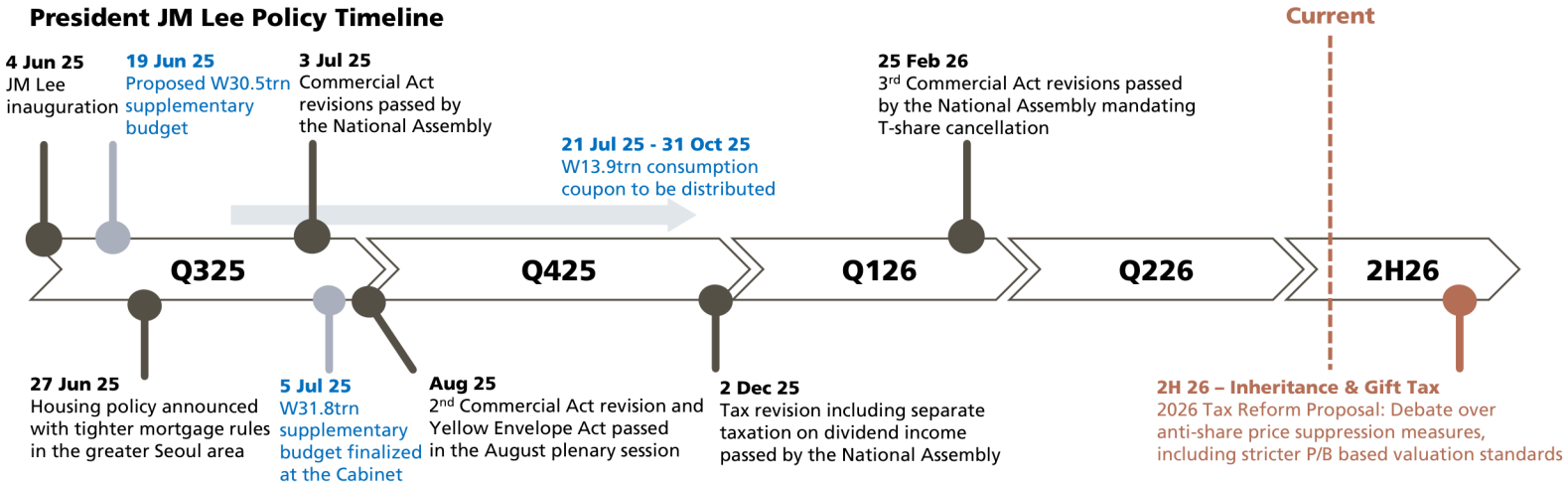
NAV discount of Holdcos with Operating/Unlisted Subsidiary Momentum: CJ, GS, Doosan



Source: Company data, Bloomberg, WiseFn. Note: Priced as of 8 Oct 2026. NAV of unlisted opcos calculated using book value.

Major amendments passed by the national assembly: most of the major reforms are done

President JM Lee Policy Timeline



Amendments on Commercial Act passed by National Assembly

Reforms	Details	Date of passage	Effective date
Commercial Act			
Fiduciary duty of directors	• Company → Company and shareholders	Jul 2025	Jul 2025
Introduction of independent directors	• Outside director not engaged in the company's business operation (At least one-fourth of the board) → Independent director performing free from the influence of management and executive director (At least one-third of the board)	Jul 2025	Jul 2026
Electronic shareholder meetings for large-cap listed companies	• Optional → Mandatory	Jul 2025	Jan 2027
3% Rule for the appointment of audit committee member	• Voting right limit of 3% for major shareholders and special affiliates combined	Jul 2025	Jul 2026
Cumulative voting for listed companies	• Optional → Mandatory	Aug 2025	Sep 2026
Separate election of audit committee	• At least one → two members	Aug 2025	Sep 2026
Mandatory cancellation of t-shares	• Optional → Mandatory (i) Newly acquired treasury shares: within 1 year of acquisition (ii) Existing treasury shares: within18months, including a 6-month grace period. • Exceptions: May be exempt for employee compensation, strategic transactions, capital structure management etc. (AGM approval required annually)	Feb 2026	Feb 2026
Tax Reforms			
Dividend income tax	• Separation taxation on dividend income is applied to dividends paid from 2026 onward. • For dividend income >Won5bn: max.45% → 30% (i) payout ratio >40%or payout ratio >25% & dividend +10% YoY (ii) value up plan disclosed	Dec 2025	Jan 2026

UBS *Source: National Assembly, Press reports*

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Proposed amendments on capital market act and stock price suppression prevention law: expected to be legislated/passed in H226

Proposed Amendments & Regulations Under Review

Capital Markets Act	Details	Submitted	Target date
KOSDAQ 3-tiered segmentation system	• Manage a 3-tiered segmentation system, with promotions and relegations • Develop a dedicated index of top-tier companies(Premium Segment) and launch associated ETFs • Restructure disclosure system for each segment: (i) Premium: Streamline timely disclosures; introduce corporate governance reports and mandatory English disclosure (ii) Standard: Expand disclosure scope (earnings guidance, preliminary results, growth plans) and mandate regular IR activities	Policy announced in May 2026	Implementation planned in Oct 2026
Mandatory value-up plan disclosure for Low-PBR companies	• Mandatory disclosure of value-up plan for listed companies with PBR < 1.0x for 2 consecutive years • Required to include concrete plans such as distributable profits, dividend policies, share buybacks, and t-share cancellation.	Bill proposed in Mar 2026	H226
Stricter fair valuation standards for M&A transactions	• Comprehensive assessment of fair price based on market price, asset value, and earnings potential, in cases of mergers between listed affiliates	Bill proposed in Jun 2025	H226
Mandatory allocation of new shares to parent company minority shareholders	• New shares allocation to existing shareholders of the parent company in accordance with predetermined ratios in the event of an IPO following a spin-off	Bill proposed in Nov 2024	H226
Mandatory bid offer rule with control premium sharing	• Acquirer's obligation to purchase additional shares (50%+1 to 100% of shares outstanding) upon acquiring more than a 25% stake sufficient to influence corporate governance	Bill proposed in Jun 2024	H226

Proposed 2026 Tax Reform: Anti-share price suppression

Anti Share-Price Suppression

Overview

• Revision of stock valuation methodology and assessment period for companies suspected of deliberately depressing share prices to reduce inheritance and gift taxes

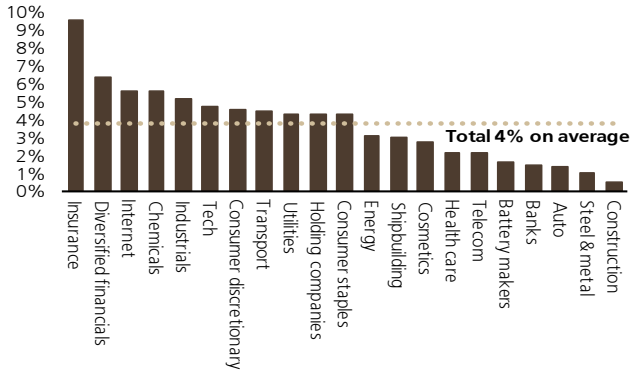
Criteria	Conditions	Measures	Proposed	Status	Proposer
2026 Tax reform proposal	• PBR ranks in the bottom 25% of industry peers (KOSPI) or bottom 10% (KOSDAQ) over the past six years. • (i) Undertaken potentially value-destructive actions(e.g. Dual listing, EB issuance) within 1 year and (ii) current valuation price has declined by 30% or more relative to the average share price over the past three years.	• Tax rate based on (i) Average closing price over the previous 6 months to 6.5 years or (ii) 130% of the current valuation under existing rules. • Tax rate based on highest average closing price over the previous 6 months to 3 years.	Announced in 3 Aug 2026	Under review	Government
Bill proposed by the Democratic Party	• For listed companies with PBR < 0.8x, (i) tax based on 0.8x PBR, not net value, (ii) tax rate based on 80% of net value • For listed companies with PBR > 0.8x or higher, (i) exemption from 20% additional tax (ii) in-kind tax payment allowed	• (i) Tax based on 0.8x PBR, not net value, (ii) tax rate based on 80% of net value • (i) Exemption from 20% additional tax (ii) in-kind tax payment allowed	Bill proposed in May 2025	Reconsideration following opposition to the tax reform proposal	Democratic Party

UBS *Source: National Assembly, Press reports*

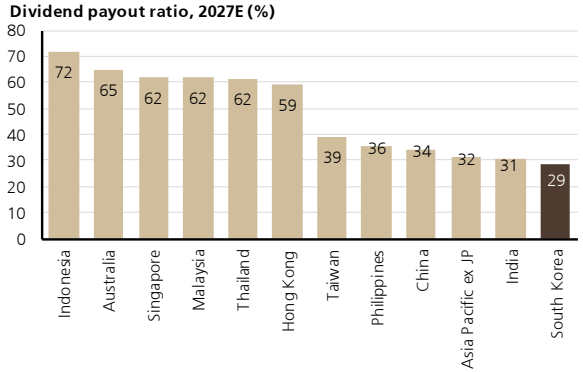
Uncancelled treasury shares and low dividend payout we view as part of the reason behind Korea's discount

- Treasury cancellations and dividend payouts have been on the rise even before being forced by law. But we see ample room for improvement, which should help rerate Korea.

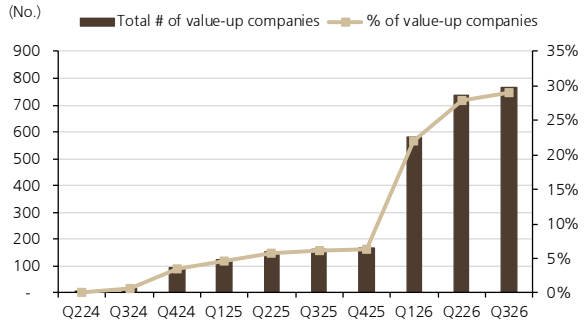
% of treasury share holding by sector, 2025



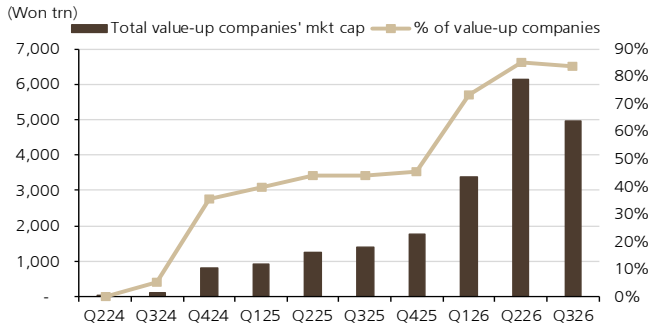
APAC dividend payout ratio comparison, 2027E



Number of Value up disclosures as % of total listed companies



Mkt cap of value up companies' as % of Korea total mkt cap



UBS *Source: Bloomberg, IBES, Refinitiv, WiseFn, UBS estimates*

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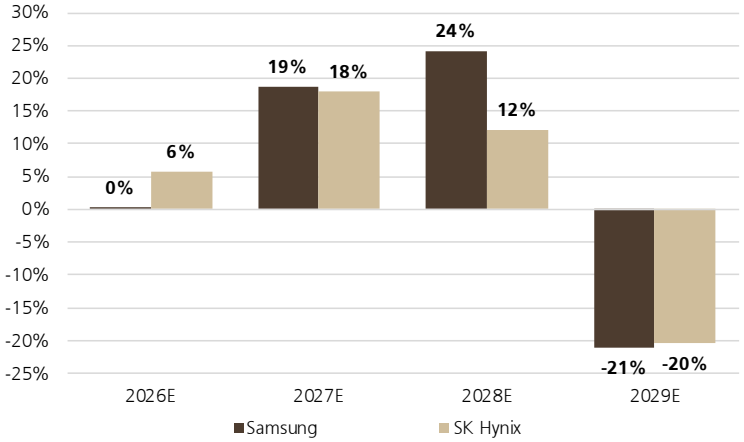
SECTION 4

Expect tech to drive the market in H226

Strong memory pricing momentum continues unabated

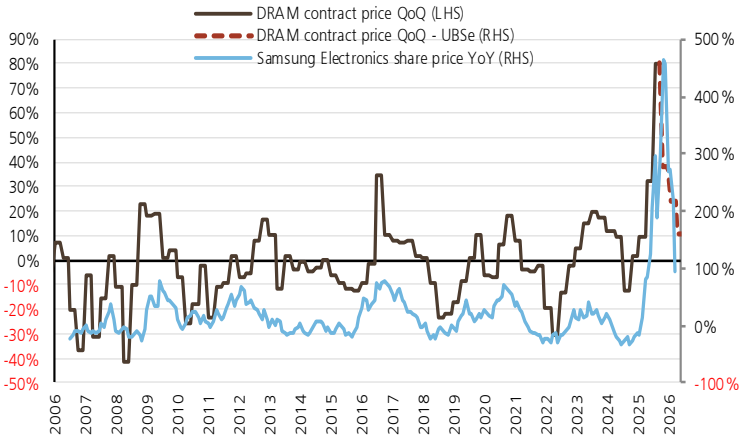
- Agentic AI continues to boost memory demand on multiple fronts beyond HBM, including DDR5/LPDDR5 for conventional servers and CPU head nodes in AI servers, as well as NAND flash for KV cache and storage. We now forecast an acceleration of memory demand growth into 2027 with DRAM bit demand growing 40% YoY in 2027E (vs 21% in 2026E) and NAND 26% (vs 23% in 2026E). With almost all incremental DRAM wafer capacity going to HBM and no new capacity (ex-China) being added to NAND, supply is not catching up with demand. With memory industry revenues edging towards US$0.97trn by 2026E and US$1.71trn by 2027E, the main risk to this upcycle remains affordability – particularly for hyperscalers, who will need to continue to tap capital markets to finance capex.
- LTA negotiations continue, with both Samsung and SK Hynix now having signed contracts with major hyperscalers and large OEMs. LTAs may shave off some of the upside near term but will likely be accretive to margins/returns longer-term.
- We forecast HBM bit demand of 32.2bn Gb (+84% YoY) in 2026E and 61.5bn Gb (+91% YoY) in 2027E. On the supply side, we forecast (1) SK Hynix to remain the market leader in 2026E with 48% bit share (Samsung 31%, Micron 21%) and (2) Samsung to surpass SK Hynix with 41% bit share (SK Hynix 37%, Micron 22%)
- Our top pick in Memory is Samsung Electronics (APAC Key Call Buy, PT Won535k). We also have a Buy rating on SK Hynix (PT Won3.00m)

SEC and SK Hynix OP – UBS vs consensus estimates



Source: Visible Alpha, UBS estimates.

SEC YoY share price vs DRAM contract price QoQ



Source: Company data, DRAMexchange, UBS estimates

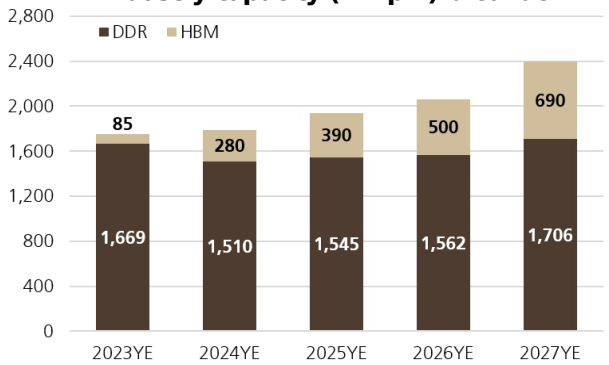
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Continuing to see upside to DDR contract pricing

DRAM bit demand growth by applications & price forecast

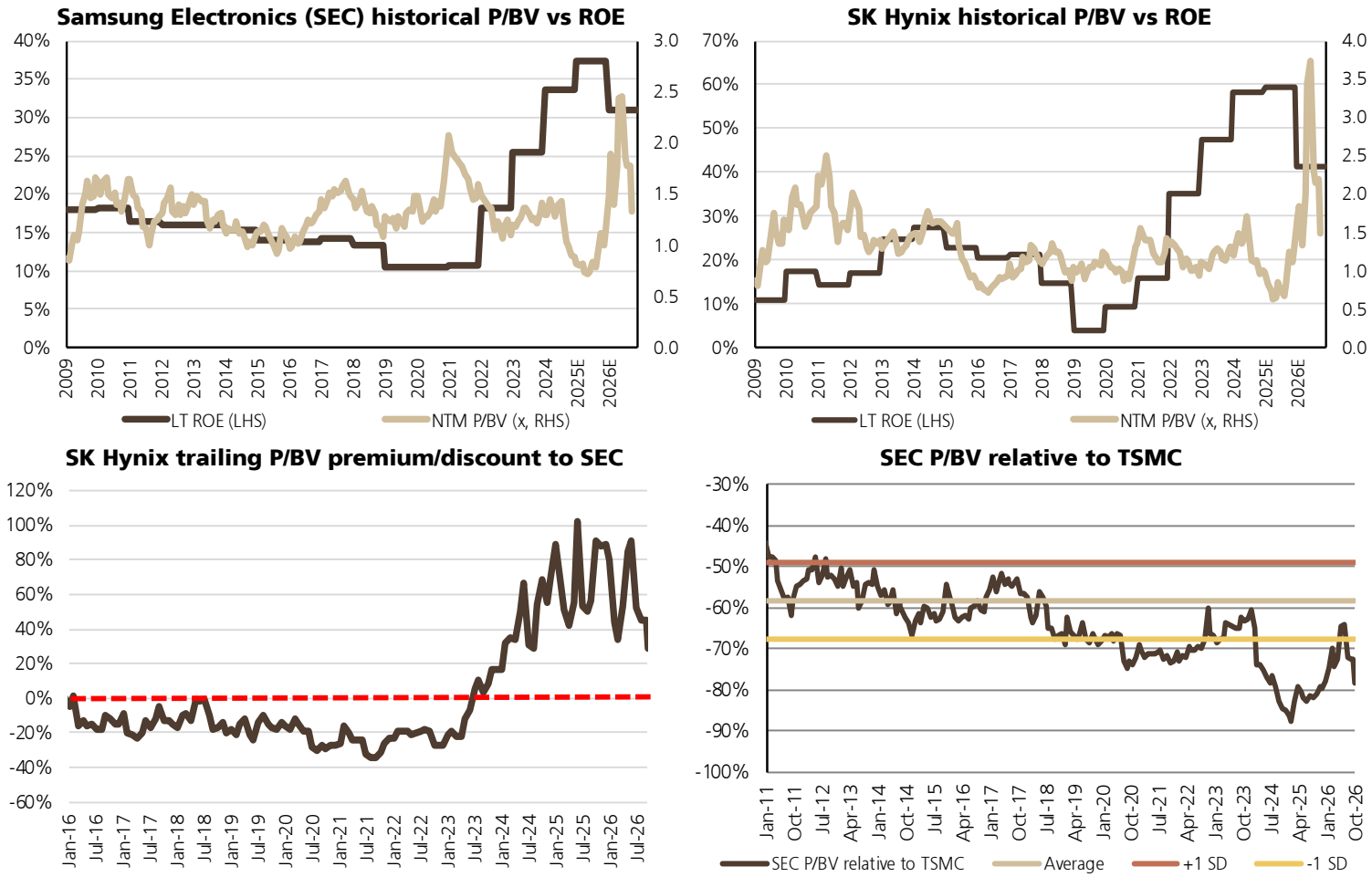
	Q125 QoQ	Q225 QoQ	Q325 QoQ	Q425 QoQ	2025 YoY	Q126 QoQ	Q226E QoQ	Q326E QoQ	Q426 QoQ	2026 YoY	Q127E QoQ	Q226E QoQ	Q327E QoQ	Q427E QoQ	2027E YoY
Total PC DRAM	**-6.1%**	**13.8%**	**18.5%**	**3.0%**	**20.2%**	**-15.2%**	**-2.0%**	**1.2%**	**-1.4%**	**-4.6%**	**-13.5%**	**9.3%**	**15.2%**	**5.5%**	**0.3%**
Desktops	0.4%	10.8%	9.3%	5.6%	22.8%	-12.9%	-5.4%	-6.1%	0.2%	-9.7%	-6.5%	9.3%	11.2%	10.6%	4.0%
Notebooks	-8.1%	14.6%	20.7%	2.2%	24.3%	-15.3%	-0.2%	2.5%	-1.1%	-2.3%	-13.9%	10.1%	17.0%	5.7%	2.6%
Upgrade Modules	-8.1%	17.3%	27.5%	1.9%	-10.9%	-20.0%	-8.3%	12.1%	-8.3%	-8.7%	-30.0%	0.0%	10.0%	-18.6%	-32.2%
Servers	**5.4%**	**7.2%**	**35.8%**	**11.1%**	**57.3%**	**0.9%**	**7.1%**	**18.6%**	**9.1%**	**49.9%**	**16.8%**	**19.7%**	**21.3%**	**16.8%**	**83.1%**
Graphics	13.2%	13.4%	17.5%	-1.0%	26.8%	-9.7%	5.3%	13.4%	0.0%	10.5%	-8.4%	4.9%	13.1%	-0.2%	8.8%
Game Consoles	22.7%	4.2%	4.0%	1.9%	18.3%	0.3%	2.3%	4.2%	-8.5%	6.5%	2.3%	2.7%	4.3%	-3.4%	1.5%
HDTVs	-17.5%	1.8%	21.2%	5.8%	9.7%	-21.5%	1.3%	16.2%	14.5%	2.0%	-21.1%	3.4%	15.7%	12.2%	7.2%
Total Mobile DRAM	**-5.6%**	**-1.0%**	**14.1%**	**10.2%**	**15.6%**	**-13.2%**	**-5.1%**	**2.6%**	**12.0%**	**-0.7%**	**-8.6%**	**-2.9%**	**3.5%**	**18.0%**	**3.4%**
Smartphones	**-4.8%**	**-1.4%**	**14.6%**	**10.1%**	**16.7%**	**-13.2%**	**-5.8%**	**2.4%**	**12.1%**	**-1.3%**	**-8.0%**	**-3.5%**	**3.1%**	**18.8%**	**3.4%**
Apple	-31.8%	-5.6%	29.4%	80.5%	31.3%	-32.6%	-6.7%	5.4%	70.0%	26.9%	-28.7%	-6.7%	1.7%	82.1%	19.8%
Samsung	26.2%	-7.0%	11.5%	-2.8%	17.6%	8.3%	4.5%	-3.1%	-5.2%	10.4%	16.8%	-10.0%	10.0%	-9.8%	-18.6%
Non-Apple/Samsung	-3.0%	1.7%	11.8%	-6.1%	12.0%	-9.7%	-9.6%	3.6%	-5.5%	-14.9%	-2.6%	1.8%	0.5%	-0.5%	4.6%
Tablet PCs	-16.0%	5.0%	8.9%	10.2%	3.2%	-13.1%	4.1%	5.1%	10.2%	6.8%	-16.2%	5.3%	8.4%	8.9%	3.3%
Others	4.3%	4.0%	2.8%	2.9%	12.2%	3.0%	2.6%	1.8%	7.3%	12.8%	-11.3%	2.6%	3.7%	8.8%	0.7%
Total Bit Demand	**0.2%**	**4.6%**	**19.4%**	**7.9%**	**27.6%**	**-4.8%**	**2.3%**	**10.0%**	**8.4%**	**20.7%**	**2.4%**	**11.2%**	**15.0%**	**14.7%**	**38.9%**
Blended ASP incl. HBM ($/Gb)	**0.41**	**0.42**	**0.46**	**0.61**	**0.48**	**1.09**	**1.51**	**1.87**	**2.07**	**1.66**	**2.27**	**2.38**	**2.47**	**2.52**	**2.42**
% QoQ	*-4.8%*	*1.9%*	*9.6%*	*32.2%*		*80.4%*	*38.4%*	*23.9%*	*10.5%*		*9.5%*	*5.2%*	*3.5%*	*2.3%*	
% YoY	*41.5%*	*21.8%*	*19.7%*	*40.4%*	*32.2%*	*166.1%*	*261.4%*	*308.6%*	*241.7%*	*246.8%*	*107.4%*	*57.6%*	*31.7%*	*21.9%*	*45.1%*
DDR ASP ($/Gb)	**0.33**	**0.35**	**0.38**	**0.53**	**0.40**	**1.05**	**1.51**	**1.88**	**2.09**	**1.66**	**2.19**	**2.30**	**2.37**	**2.42**	**2.33**
% QoQ	*-6.2%*	*7.0%*	*7.0%*	*42.0%*		*97.0%*	*43.0%*	*25.0%*	*11.0%*		*5.0%*	*5.0%*	*3.0%*	*2.0%*	
% YoY	*20.3%*	*10.6%*	*11.8%*	*52.5%*	*26.4%*	*220.3%*	*328.0%*	*400.0%*	*290.9%*	*309.4%*	*108.3%*	*53.0%*	*26.0%*	*15.8%*	*40.5%*
HBM ASP ($/Gb)	**1.42**	**1.55**	**1.56**	**1.52**	**1.52**	**1.57**	**1.59**	**1.79**	**1.91**	**1.75**	**2.89**	**3.06**	**3.23**	**3.32**	**3.14**
% QoQ	*2.7%*	*9.4%*	*0.4%*	*-2.5%*		*3.0%*	*1.4%*	*12.7%*	*7.0%*		*50.8%*	*6.0%*	*5.7%*	*2.6%*	
% YoY	*25.6%*	*28.3%*	*16.9%*	*10.0%*	*15.6%*	*10.3%*	*2.3%*	*14.8%*	*26.0%*	*15.0%*	*84.3%*	*92.7%*	*80.7%*	*73.2%*	*79.8%*

DRAM industry capacity (K wpm) breakdown



UBS *Source: Company data, Gartner, UBS estimates*

We prefer Samsung over SK Hynix



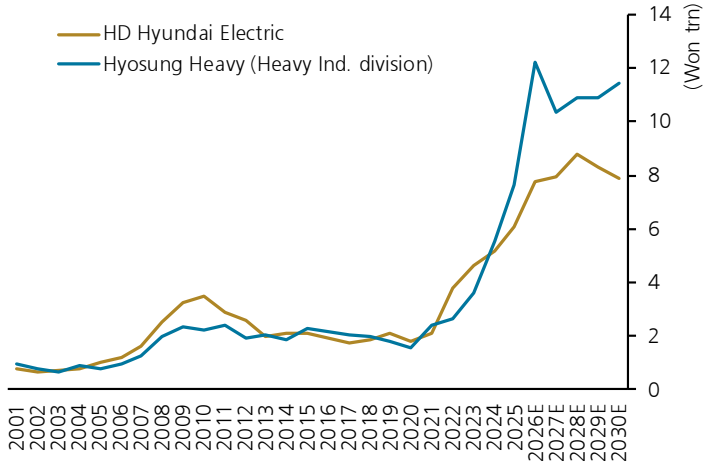
Source: Company data, UBS estimates

SECTION 5

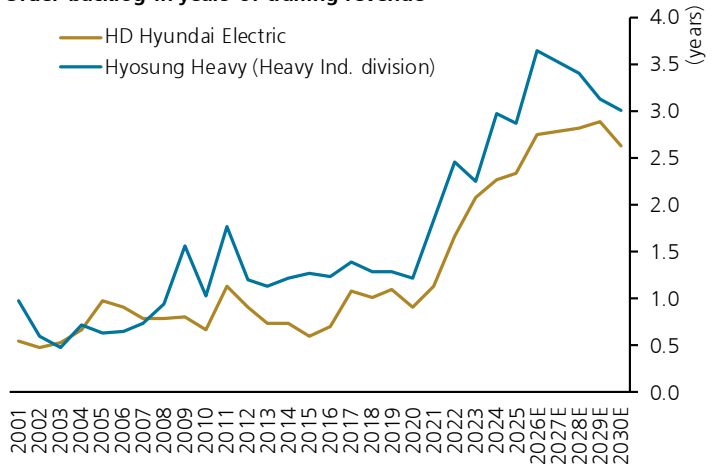
Select non-tech sectors to also help support the market

Electrical equipment orders and profitability trends

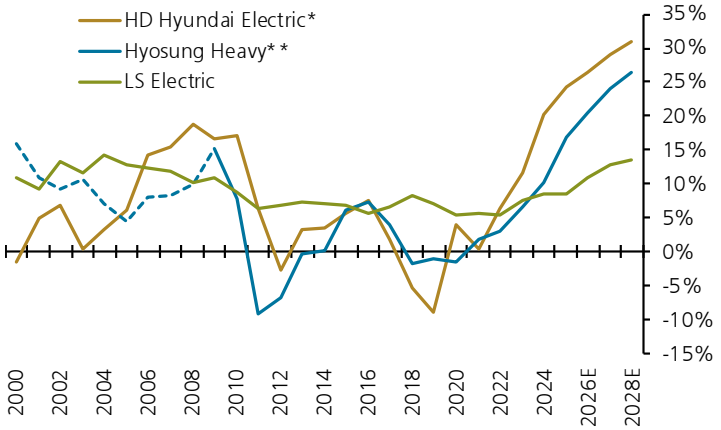
New orders trend



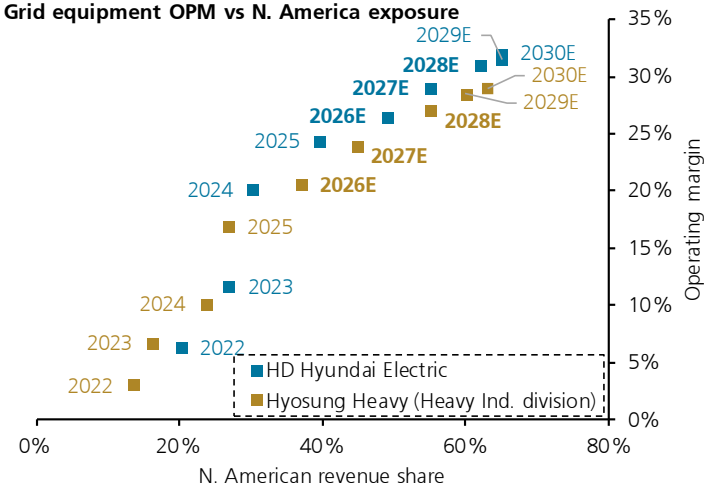
Order backlog in years of trailing revenue



Korea electrical equipment: OPM through the cycles



Grid equipment OPM vs N. America exposure



UBS

Source: Company data, UBS estimates

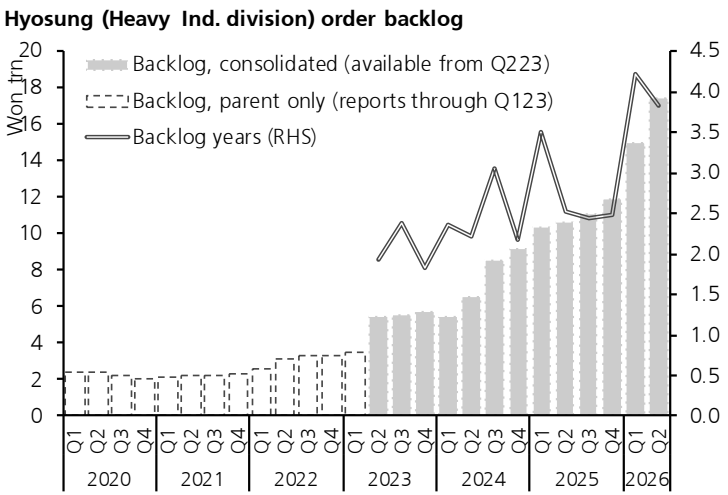
Note: *Based on Hyundai Heavy Industries' Electro Electric System division before 2017 spinoff. **Includes Construction division until 2008; Heavy Industries division only from 2009.

Hyosung Heavy Ind. (298040 KS) – Buy, Won4,000,000 PT

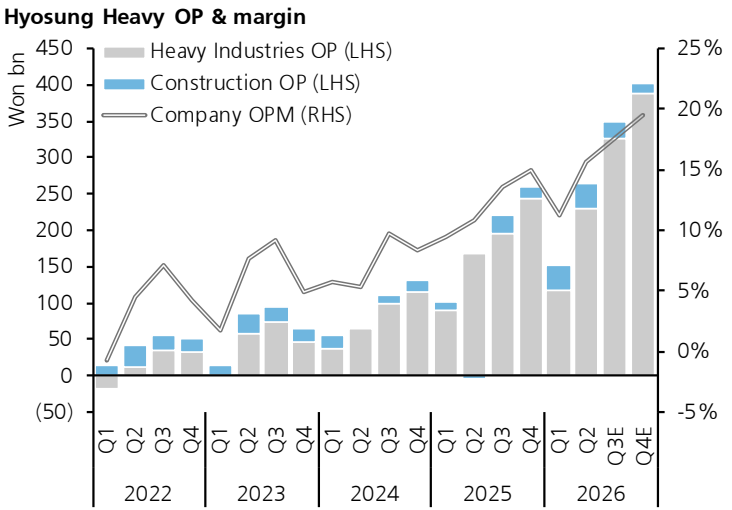
UBS VIEW

- We expect healthy profitability catch up in 2026 as Hyosung executes its profitable transformer backlog. High voltage transformer to remain a key bottleneck in global grid, and this drives strong OP growth through 2027
- Power transformer and switchgear capacity expansion underway through 2029. Expect further upside to new orders
- UBS Price Target based on SOTP implying 30x 2027E P/E, applying 31x for Heavy Industries and 6x for Construction

Backlog growth supports long-term growth



Operating margin to further expand in 2026



Source: Company data, UBS estimates **43**

Hyosung Heavy Industries – Key financial forecasts

Unit: Won bn	2023	2024	Q125	Q225	Q325	Q425	2025	Q126	Q226	Q326E	Q426E	2026E	2027E	2028E
Revenues	**4,301**	**4,895**	**1,076**	**1,525**	**1,624**	**1,743**	**5,969**	**1,358**	**1,687**	**1,980**	**2,067**	**7,092**	**8,446**	**9,671**
YoY change	*23%*	*14%*	*9%*	*28%*	*42%*	*11%*	*22%*	*26%*	*11%*	*22%*	*19%*	*19%*	*19%*	*15%*
Heavy Industries	2,579	3,100	731	1,061	1,144	1,213	4,148	881	1,137	1,487	1,681	5,185	6,482	7,648
Construction	1,720	1,793	344	463	479	529	1,816	477	549	494	387	1,907	1,964	2,023
Operating income	**258**	**362**	**102**	**164**	**220**	**261**	**747**	**152**	**264**	**349**	**402**	**1,168**	**1,654**	**2,166**
YoY change	*80%*	*41%*	*82%*	*162%*	*97%*	*97%*	*106%*	*49%*	*61%*	*59%*	*54%*	*56%*	*42%*	*31%*
Heavy Industries	175	315	90	169	196	245	699	118	230	327	388	1,063	1,556	2,065
Construction	83	47	12	(4)	24	16	48	34	34	22	14	105	98	101
Operating margin	**6.0%**	**7.4%**	**9.5%**	**10.8%**	**13.5%**	**14.9%**	**12.5%**	**11.2%**	**15.7%**	**17.6%**	**19.4%**	**16.5%**	**19.6%**	**22.4%**
Heavy Industries	6.8%	10.2%	12.3%	15.9%	17.1%	20.2%	16.8%	13.4%	20.2%	22.0%	23.1%	20.5%	24.0%	27.0%
Construction	4.8%	2.6%	3.5%	-0.9%	5.0%	3.0%	2.6%	7.2%	6.3%	4.5%	3.6%	5.5%	5.0%	5.0%
Non-operating gain/(loss)	(88)	(139)	28	(57)	(24)	(68)	(121)	(23)	(27)	(7)	5	(53)	(3)	15
Pre-tax income	170	224	130	107	196	193	626	129	237	342	407	1,115	1,651	2,181
Net income	**116**	**223**	**102**	**93**	**150**	**175**	**520**	**87**	**173**	**266**	**327**	**853**	**1,255**	**1,653**
YoY change	*1035%*	*92%*	*372%*	*157%*	*103%*	*92%*	*134%*	*-15%*	*87%*	*77%*	*87%*	*64%*	*47%*	*32%*
Net margin	2.7%	4.5%	9.5%	6.1%	9.2%	10.0%	8.7%	6.4%	10.2%	13.5%	15.8%	12.0%	14.9%	17.1%
EPS (Won)	**12,455**	**23,909**	**10,971**	**9,936**	**16,131**	**18,794**	**55,832**	**9,370**	**18,536**	**28,617**	**35,085**	**91,608**	**134,810**	**177,503**
YoY change	*1035%*	*92%*	*372%*	*157%*	*103%*	*92%*	*134%*	*-15%*	*87%*	*77%*	*87%*	*64%*	*47%*	*32%*
DPS (Won)	**2,500**	**5,000**	**--**	**--**	**--**	**7,500**	**7,500**	**--**	**--**	**--**	**15,000**	**15,000**	**20,000**	**25,000**
Dividend payout ratio	*20%*	*21%*					*13%*					*16%*	*15%*	*14%*
New orders (Heavy Ind.)	**3,614**	**5,539**	**2,009**	**2,197**	**1,456**	**1,966**	**7,627**	**4,175**	**3,324**			**12,204**	**10,373**	**10,892**
YoY change	*-1%*	*53%*	*46%*	*46%*	*-22%*	*152%*	*38%*	*108%*	*51%*			*60%*	*-15%*	*5%*
Backlog (Heavy Ind.)	**5,800**	**9,200**	**10,400**	**10,700**	**11,100**	**11,900**	**11,900**	**15,062**	**17,507**			**18,918**	**22,810**	**26,054**
Backlog years	2.25	2.98	3.51	2.51	2.45	2.47	2.87	4.22	3.84			3.65	3.52	3.42

UBS

Source: Company data, UBS estimates **44**

SEMCO (Jimmy Yoon) – Buy, PT Won2.7m

- **Our View**
  - We expect SEMCO to record meaningful OP uplift into 2026E/2027E (+131%/+165% YoY) on AI-led demand pick-up for both MLCC and FC-BGA.
  - For MLCC, in addition to mix shift to non-IT (in particular AI server MLCCs) supporting blended ASP/margins, we see tight S/D likely prompting like-for-like ASP hikes into 2H26. We now forecast SEMCO's blended MLCC ASP to grow +20%/+47% YoY in 2026E/2027E.
  - For Substrates, with SEMCO expected to ramp ABF capacity (Vietnam/Korea) on new customer wins (ASIC AI accelerator) into 2027E/2028E along with potential ASP hike (material costs + S/D tightness), we forecast Substrate OP to inflect +292%/+143% YoY in 2026E/2027E.
- **Can SEMCO record strong YoY MLCC OP growth and expand margins in 2026E/2027E?**
  - Yes. We forecast SEMCO's component revenues to grow 35%/67% YoY in 2026/27E supported by demand from AI servers/xEVs. We forecast SEMCO's AI server MLCC revs to grow at c. 80% CAGR 2025-30E (>8x MLCC content for AI / >100x MLCC at rack level vs conventional) on scaling voltage/power envelope.
  - For supply, we expect relatively slower headline MLCC shipment growth given longer tact times / lower yields for high-end MLCCs. Net-net, this may prompt prolonged MLCC S/D tightness starting with high-end MLCCs beyond 2H26. In addition to mix, tight S/D, we believe, could result in like-for-like ASP hikes supporting SEMCO's blended MLCC ASP to grow +20%/+47% YoY in 2026/27E. We forecast SEMCO's component business earnings to grow +113%/+197% YoY in 2026/27E with OPM at c. 19%/34% (vs 12% OPM in 2025).
- **Can SEMCO scale Substrates revenues whilst securing margins in 2026E/2027E?**
  - Yes. We believe SEMCO should be able to expand its Substrates business OP margin to 18%/29% in 2026/27E (was 7% in 2025) on the back of new customer/project wins for FC-BGA (ABF) centered on AI ASICs / networking / LPU and server CPUs expected to ramp into 2H26, pivoting away from lower margin legacy PC CPU mix.
  - ABF price hikes (material cost pass through + tight S/D) should also bode well for margin upside. In particular for FC-BGA, we expect OP to grow at a 111% CAGR in 2025-30E, with earnings contribution growing from c. 17% in 2025 to c. 34% by 2030E.
- **PT Won2.7m** – We value SEMCO based on 48.9x 2027E EPS given our revised 2027-30E EPS CAGR of 37%

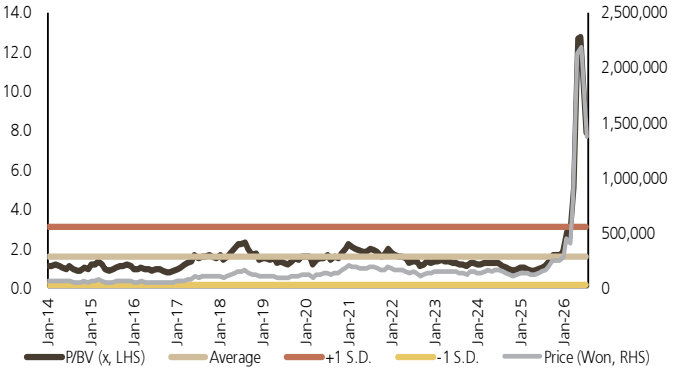


SEMCO (Jimmy Yoon) – Valuation

UBS price target	**2,700,000**
Current stock price (Won)	1,421,000
Number of shares (Mn)	77.6
Treasury shares	2.1
Market cap. (Won bn)	110,271
Net debt (Won bn)	-305
Adjusted EV (Won bn)	109,965

	2025	2026E	2027E	2028E	2029E	2030E
Current Valuation						
EV/Revenues	9.72	7.60	5.29	3.98	3.17	2.52
P/Book	11.56	9.26	6.93	4.94	3.57	2.66
P/E	156.17	67.08	25.73	16.19	12.22	9.94
EV/EBITDA	59.83	34.79	15.79	10.39	7.99	6.60
UBS valuation (x)						
EV/Revenues	18.49	14.46	10.06	7.57	6.03	4.80
P/Book	21.96	17.60	13.17	9.39	6.78	5.06
P/E	296.73	127.46	48.89	30.75	23.21	18.88
EV/EBITDA	113.83	66.20	30.05	19.77	15.20	12.56
Other data						
EPS	9,099	21,183	55,230	87,793	116,319	142,986
% ROE	*7.4%*	*15.4%*	*31.7%*	*36.4%*	*34.5%*	*31.1%*
Tangible book per share (Won)	122,960	153,411	204,957	287,646	398,199	534,098
Cash per share (Won)	26,131	26,131	26,131	26,131	26,131	26,131
FCF Per Share (Won)	3,840	-27,300	-20,740	12,027	60,572	95,977
% FCF yield	*0.3%*	*-1.9%*	*-1.5%*	*0.8%*	*4.3%*	*6.8%*

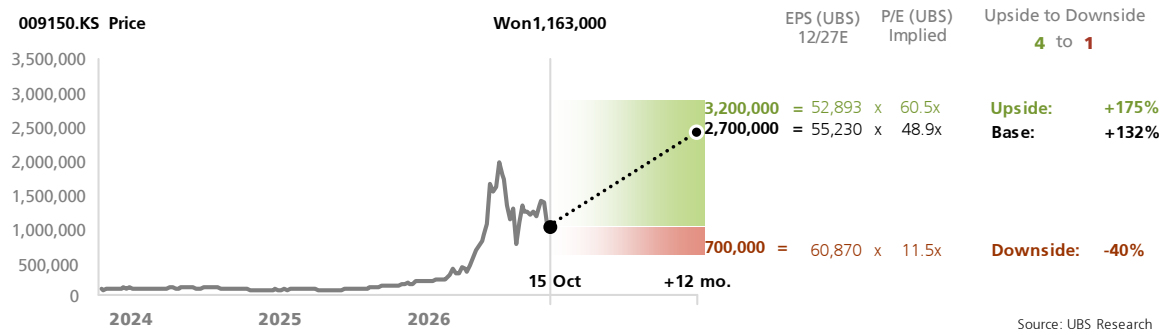
12-month forward P/BV



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SEMCO (Jimmy Yoon) – Key Charts

	3Q26E			4Q26E			2026E			2027E			2028E		
(Won bn)	**UBSe**	**Cons**	**Delta**	**UBSe**	**Cons**	**Delta**	**UBSe**	**Cons**	**Delta**	**UBSe**	**Cons**	**Delta**	**UBSe**	**Cons**	**Delta**
Sales	3,816	3,751	1.7%	3,987	3,895	2.4%	14,469	14,312	1.1%	20,788	18,875	10.1%	27,622	24,431	13.1%
Op Profit	**646**	**584**	**10.6%**	**746**	**632**	**18.0%**	**2,113**	**1,905**	**10.9%**	**5,594**	**3,974**	**40.7%**	**8,793**	**6,116**	**43.8%**
% OP margin	16.9%	15.6%	136bps	18.7%	16.2%	248bps	14.6%	13.3%	129bps	26.9%	21.1%	585bps	31.8%	25.0%	680bps
EPS (Won)	6,337	6,035	5.0%	7,369	6,998	5.3%	21,180	20,168	5.0%	55,230	41,670	32.5%	87,793	64,089	37.0%



Source: UBS Research

Value drivers (2026/27E)	MLCC Blended ASP (% YoY)	Component (% OPM)	Substrate (% OPM)	Operating Profit
Won3,200,000 upside	+23%/+54%	21%/37%	20%/32%	Won2.2tn/5.9tn
Won2,700,000 base	+20%/+47%	19%/34%	18%/29%	Won2.1tn/5.6tn
Won700,000 downside	+16%/+28%	17%/25%	16%/20%	Won1.7tn/3.5tn

Source: Bloomberg, Company data, UBS estimates

SEMCO (Jimmy Yoon) – Divisional Forecasts

(Won bn)	2025	1Q26	2Q26	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E	2028E	2029E	2030E
Revenues														
Module Solution	3,814	1,076	1,036	931	968	4,011	1,077	918	1,056	933	3,984	4,143	4,141	4,211
Component Solution	5,198	1,408	1,649	1,956	2,023	7,037	2,349	2,840	3,310	3,240	11,739	16,004	19,912	25,128
Substrate Solution	2,302	725	772	929	996	3,422	1,078	1,187	1,337	1,463	5,065	7,474	10,664	14,221
Total	**11,314**	**3,209**	**3,457**	**3,816**	**3,987**	**14,469**	**4,504**	**4,946**	**5,702**	**5,636**	**20,788**	**27,622**	**34,717**	**43,561**
% YoY	*10%*	*17%*	*24%*	*32%*	*37%*	*28%*	*40%*	*43%*	*49%*	*41%*	*44%*	*33%*	*26%*	*25%*
% QoQ		*11%*	*8%*	*10%*	*4%*		*13%*	*10%*	*15%*	*-1%*				
Mix %														
Module Solution	*34%*	*34%*	*30%*	*24%*	*24%*	*28%*	*24%*	*19%*	*19%*	*17%*	*19%*	*15%*	*12%*	*10%*
Component Solution	*46%*	*44%*	*48%*	*51%*	*51%*	*49%*	*52%*	*57%*	*58%*	*57%*	*56%*	*58%*	*57%*	*58%*
Substrate Solution	*20%*	*23%*	*22%*	*24%*	*25%*	*24%*	*24%*	*24%*	*23%*	*26%*	*24%*	*27%*	*31%*	*33%*
Operating profit														
Module Solution	141	56	47	37	34	174	54	37	32	37	160	145	145	133
Component Solution	627	162	289	417	469	1,337	722	957	1,181	1,109	3,969	5,896	7,443	8,931
Substrate Solution	154	63	105	192	243	602	279	336	417	434	1,465	2,752	3,966	5,049
Total	**913**	**281**	**440**	**646**	**746**	**2,113**	**1,055**	**1,330**	**1,629**	**1,580**	**5,594**	**8,793**	**11,553**	**14,113**
% YoY	*24%*	*40%*	*107%*	*148%*	*211%*	*131%*	*276%*	*202%*	*152%*	*112%*	*165%*	*57%*	*31%*	*22%*
% QoQ		*17%*	*57%*	*47%*	*15%*		*41%*	*26%*	*22%*	*-3%*				
% OP margin														
Module Solution	*4%*	*5%*	*5%*	*4%*	*4%*	*4%*	*5%*	*4%*	*3%*	*4%*	*4%*	*4%*	*3%*	*3%*
Component Solution	*12%*	*11%*	*18%*	*21%*	*23%*	*19%*	*31%*	*34%*	*36%*	*34%*	*34%*	*37%*	*37%*	*36%*
Substrate Solution	*7%*	*9%*	*14%*	*21%*	*24%*	*18%*	*26%*	*28%*	*31%*	*30%*	*29%*	*37%*	*37%*	*36%*
Total	***8%***	***9%***	***13%***	***17%***	***19%***	***15%***	***23%***	***27%***	***29%***	***28%***	***27%***	***32%***	***33%***	***32%***

UBS

Source: Company data, UBS estimates

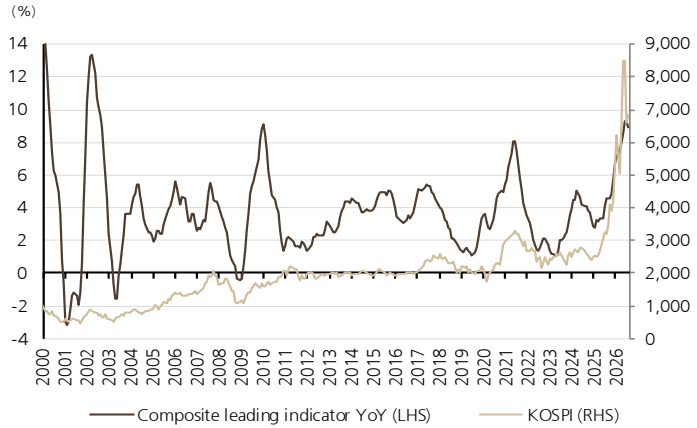
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SECTION 6

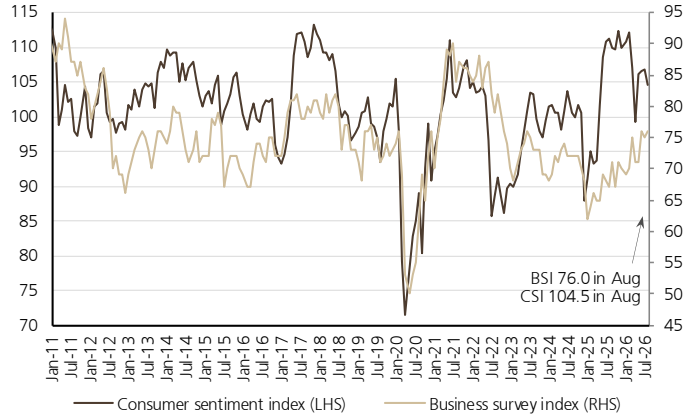
Korea macro data

Korea macro: Leading indicators/Activity indicators

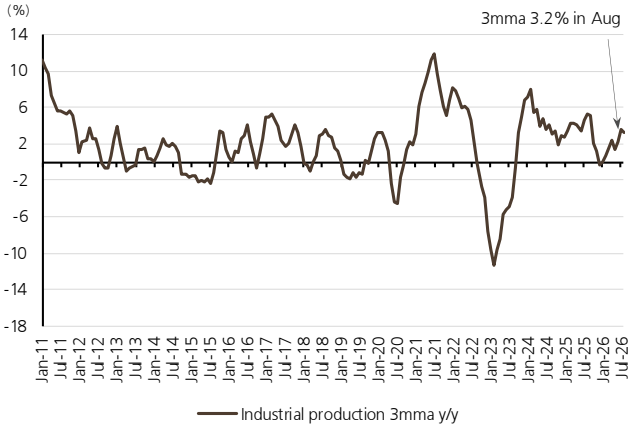
Composite leading indicator



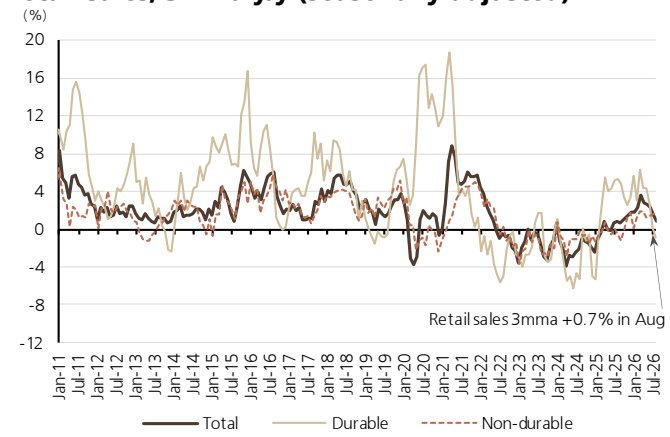
Consumer sentiment and business survey index



Industrial production



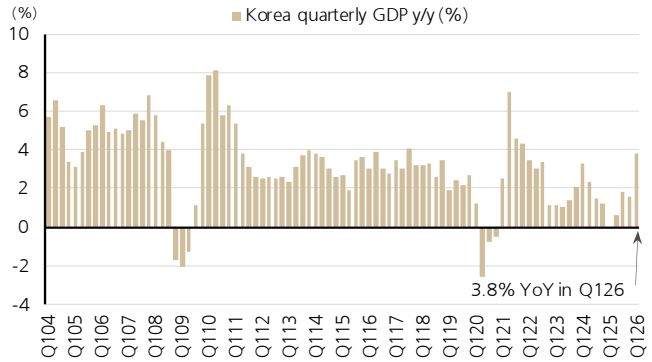
Retail sales, 3mma y/y (seasonally adjusted)



Source: CEIC, Refinitiv

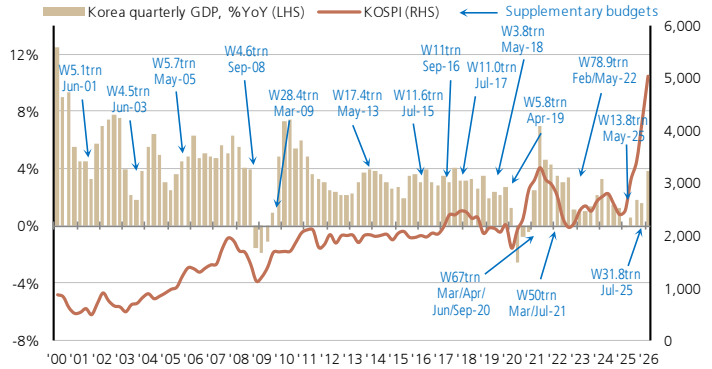
Korea macro: GDP / trade

Quarterly GDP YoY growth



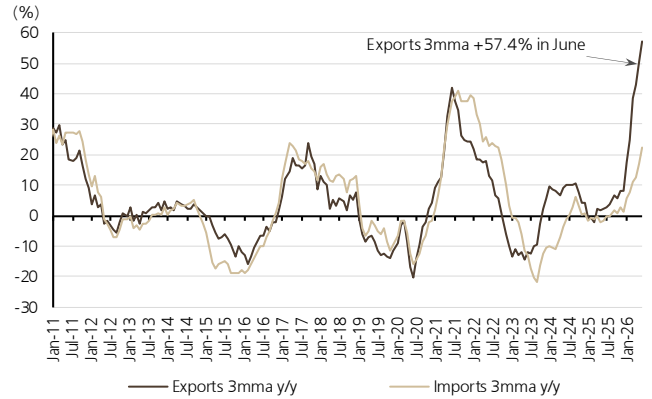
Source: CEIC

Quarterly GDP YoY growth vs. fiscal policy



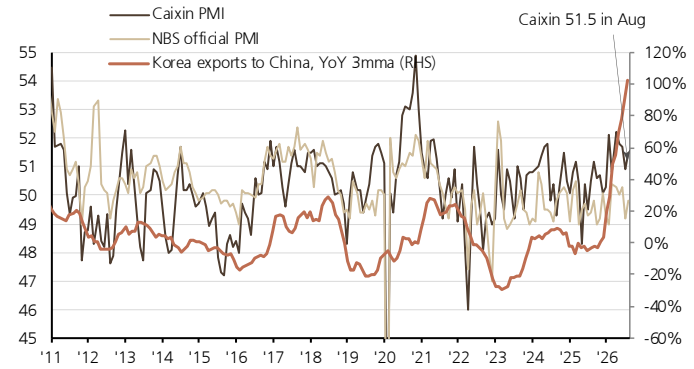
Source: CEIC, Ministry of Economy and Finance

Exports and imports (US$ terms)



Source: CEIC

China – PMI vs Korea's exports to China

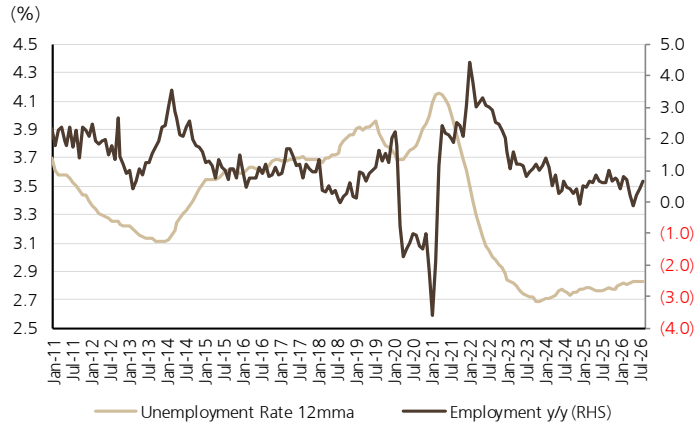


Source: Refinitiv, CEIC

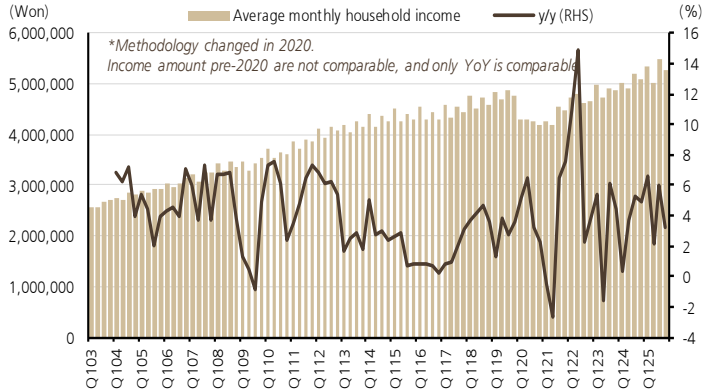
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Korea macro: Labour/Income/Price development

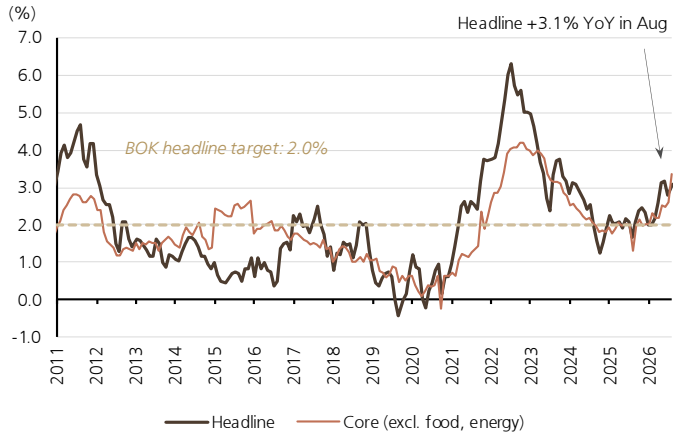
Employment



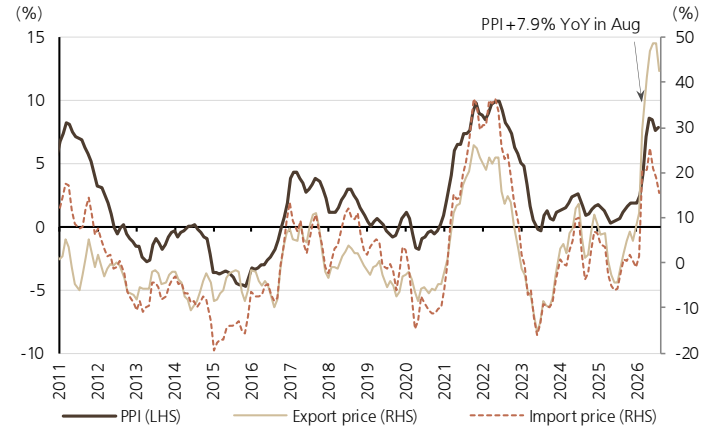
Average monthly household income



Headline and core CPI inflation, y/y



PPI and export/import prices, y/y



Source: CEIC

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UBS

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Valuation Method and Risk Statement

Although there are many uncertainties with equity investing, economic and policy surprises generally pose the most consistent risks. Economic growth can be volatile, leading to earnings uncertainty. Inflation volatility can, likewise, lead to interest rate uncertainty. The direction and level of policy rates have a substantial impact on equity valuations. Valuation methods across sectors include DCF, multiples and SOTP analysis.

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Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
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Company Name	Reuters	12-month rating	Price	Price date
Coway[28]	021240.KS	Buy	Won107,800	16 Oct 2026
EcoPro BM	247540.KQ	Sell	Won106,900	16 Oct 2026
HD Hyundai Electric[28,20]	267260.KS	Buy (CBE)	Won516,000	16 Oct 2026
HD Hyundai Marine Solution[2,6]	443060.KS	Buy	Won211,500	16 Oct 2026
Hyosung Heavy Industries[20]	298040.KS	Buy (CBE)	Won1,926,000	16 Oct 2026
Hyundai E&C[28]	000720.KS	Buy	Won93,800	16 Oct 2026
KEPCO[4,16,6]	015760.KS	Neutral	Won28,600	16 Oct 2026
KT Corporation[16]	030200.KS	Buy	Won50,400	16 Oct 2026
Krafton[28]	259960.KS	Neutral	Won194,100	16 Oct 2026
L&F	066970.KS	Sell	Won93,700	16 Oct 2026
LS Electric[20]	010120.KS	Neutral (CBE)	Won158,600	16 Oct 2026
Naver Corp[28]	035420.KS	Neutral	Won180,000	16 Oct 2026
POSCO Future M	003670.KS	Sell	Won171,600	16 Oct 2026
S-Oil	010950.KS	Buy	Won153,700	16 Oct 2026
SK Hynix[16,8]	000660.KS	Buy	Won1,272,000	16 Oct 2026
Samsung Electro-Mechanics[28]	009150.KS	Buy	Won1,188,000	16 Oct 2026

Company Name	Reuters	12-month rating	Price	Price date
Samsung Electronics[2,6,28,8]	005930.KS	Buy	Won215,500	16 Oct 2026
Samsung SDI[4,6,28,8]	006400.KS	Buy	Won530,000	16 Oct 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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Issuer Name	Credit Rating	Outlook
Hanwha Solutions Corp	No Rating	No Rating

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